Deutsche Bank
Research

Private capital monitor

Media narratives v the hard reality

3 June 2026

Luke Templeman | Galina Pozdnyakova

Deutsche Bank Research Institute

Deutsche Bank
Research Institute

Table of contents:

Executive summary

- Private capital managers' confident Q1 performance is a stark contrast to the media and investor narratives that have focussed on concerns about credit quality, AI disruption and redemptions. We take a closer look at what this divide means for PC in 2026.
- AI disruption: Our risk scoring and indexes show that PC managers were more worried about the 2022-23 rate rises, but today, the media is far more worried about AI.
- Overall in Q1, PC managers became more attuned to various external risks including AI disruption. Still, the large managers remain confident about their portfolios and fundraising.
- Managers emphasised that retail fundraising woes have been more concentrated and less severe than the media presents.
- We show our proprietary survey of individuals in the UK and the US that highlights the virality of negative headlines in the financial press.
- We track decompression in BDCs' non-accrual rates to show that the deterioration comes after quarters of strong growth. Thus, further defaults will require significant stress in the equity layer.
- We continue to expect PC dealmaking to recover as the most intense adverse headlines subside.
- Last, we take a look at the impact of market volatility amidst geopolitical tensions on realisations and dealmaking. We expect both to be resilient, including IPOs, as both corporates and dealmakers have become accustomed to market turbulence this decade. We also note that softness in sponsored deals is less pronounced outside tech and managers are eager to invest in key themes such as infrastructure, energy and defence.

Deutsche Bank
Research Institute

01.
Q1 2026 results

What do earnings calls from large, listed managers say about the private capital environment?
Key themes

Q1 was characterised by a complex macro environment, with managers navigating geopolitical tensions, fears of AI-driven disruption, and a bifurcation in private credit markets. Despite this, management teams are confident amidst strong fundraising, accelerating demand for AI-related infrastructure, and strategic advantage of diversified, scaled platforms. Firms are differentiating themselves through operational expertise and a disciplined investment processes, while being ready for opportunities from market dislocations.

1. AI as a generational investment catalyst, especially in infrastructure

- The AI revolution is the most dominant theme, viewed as a massive, multi-decade tailwind. The focus is less on direct software investment and more on providing the essential physical infrastructure required to power AI. Management consistently highlighted the enormous capital required for data centres, power generation, transmission, cooling systems, and the broader energy transition.
    - Blackstone noted its portfolio of data centres exceeds $150 billion, with a $160 billion prospective pipeline, and stated AI infrastructure is the "single most important thing for the performance of our clients". Ares sized the third-party data centre market opportunity at around $900 billion.
- Firms are positioning themselves as beneficiaries of the AI build-out, regardless of which software models win.
- Internally, firms are adopting AI to enhance productivity. TPG noted that nearly 80% of its staff uses its customized AI tools daily

2. A bifurcation in private credit markets with strong institutional backing

- Despite negative headlines and "noise" surrounding retail-focused BDCs, managers reported robust institutional demand for private credit, emphasizing a "flight to quality.“ Several firms noted a clear divergence. While retail channels experienced redemption requests, institutional demand remained strong.
    - KKR noted "meaningful inbound interest from institutions around our direct lending business".
    - Blackstone stated its institutional and insurance clients, representing 75% of its credit AUM, "continued to commit large-scale capital".
- Managers stressed their disciplined underwriting, low LTVs, and focus on senior secured debt as key risk mitigants. Diversification away from sponsor-backed direct lending into areas like asset-based finance (ABF) and investment-grade private credit is a major trend.

3. Fundraising strength driven by scale and client consolidation

- Despite the environment, fundraising was a significant bright spot. Across the board, large, diversified managers are benefiting from a trend of investors consolidating their relationships with fewer, strategic partners who can offer a wide range of products – clients are increasingly seeking multi-asset, customized solutions rather than single-fund products. The GP-led secondaries market is seen as a major growth area, driven by the need for liquidity solutions for fund sponsors.

4. Cautious optimism on monetisations amid geopolitical uncertainty

- The M&A and IPO environment is viewed with caution due to geopolitical instability, but firms with high-quality, well-performing assets see a path to monetization. Firms are actively exiting assets at strong multiples.

Source: Bloomberg Finance LP, Deutsche Bank.

What do earnings calls from large, listed managers say about the private capital environment?
Key risks

The primary risks centre on the disruption of software and other "white-collar" industries by AI, the potential for a broader credit cycle turn, and redemption pressures in the retail wealth channel for private credit.

1. AI disruption to software and “white-collar" business models

- While AI is seen as an opportunity, its potential to disrupt existing business models, particularly in software, is a frequently cited risk. While there is a general acknowledgment that the full impact of AI is unknown and will play out over several years, managers are actively reviewing their software portfolios for AI risk:
    - Ares had a review that concluded that 86% of its portfolio had low AI disruption risk, 13% had medium risk, and only 1% had high risk.
    - TPG noted one of its most exposed funds has 7% exposure to companies in a "mitigate category" where material AI risk is perceived.
    - Blackstone mentioned that software "has come into focus as an at-risk area".
- The consensus is to be defensively positioned, focusing on software with proprietary data and high barriers to entry, while avoiding areas like content generation or simple productivity tools.

2. Redemption pressures in retail private credit vehicles

- The slowdown and net outflows in non-traded BDCs and other retail credit funds are a headwind, though managers frame it as manageable and cyclical.
- While the overall impact on AUM and fees is presented as minimal to firm-wide earnings, it is causing a near-term deceleration in fee growth from these specific products.
- Managers also defended the redemption gates (typically 5% of NAV per quarter) as an essential feature to protect investors from forced asset sales and align the fund's liquidity with its illiquid underlying assets.

3. Geopolitical Instability and Macro Headwinds

- The conflict in Iran and broader geopolitical tensions were cited as creating uncertainty, volatility, and a more challenging operating environment – the conflict has caused a near-term "pause" in transaction activity as sponsors and corporates re-evaluate the landscape.
- Despite the risks, managers believe periods of uncertainty favour scaled, patient investors.
    - Ares noted it experienced its two fastest growth periods during the GFC and COVID crises.

Source: Bloomberg Finance LP, Deutsche Bank.

What do earnings calls from large, listed managers say about the private capital environment?

Scoring key concerns using earnings transcripts and our AI tool, dbLumina – Q4 vs Q1

Managers became on average more concerned about risks last quarter. They are also relatively more concerned about AI disruption and it is now the top 3 risk in our list, though it still trails macroeconomic environment risk by half. Importantly, managers continue to stress they're comfortable with own credit portfolios and fundraising.

AI & digital infrastructure

- Earlier this year, AI was discussed more as an opportunity. Software exposure was noted, but the risk of disruption was less of a focus. Now. the risk of AI-driven disruption to software business models has become a central topic of questioning and a key area of risk management. Firms are proactively quantifying and managing this risk.

Private credit:

- The narrative has become more nuanced. While underlying credit quality remains strong, the sector is experiencing a turbulence in the US retail wealth channel, while institutional demand and opportunities in non-corporate or non-US credit are accelerating.

Realisations & IPOs

- The strong monetisation momentum from late 2025 was tempered by early 2026 volatility. However, the underlying pipelines remain robust, suggesting that a stabilisation in markets could lead to an acceleration in H2.

Retail channel volatility

- The wealth channel was a key growth engine, with record inflows reported by many firms for 2025. But the "social media and press reporting" on private credit led to a tangible slowdown and increased redemptions in US-focused retail credit funds – the risk of pro-cyclical flows in the retail channel, previously a more theoretical concern, materialized in Q1 2026.
- Managers also noted that redemption requests are often concentrated among a small number of larger, often institutional-like, investors within these funds, rather than a broad-based retail exodus.
- Firms are emphasizing the structural features of these semi-liquid vehicles and the fact that they have met all redemption requests, which they believe will ultimately build long-term confidence.

Average concern score across 8 large listed managers (from 0, least concerned, to 100, most concerned)

Source: Bloomberg Finance LP, Deutsche Bank.

Q1 earnings: reported performance by asset class – performance has slowed outside infrastructure

KKR	Q1	LTM
Private equity		
Traditional PE portfolio	1%	10%
Real assets		
Opportunistic real estate	-1%	2%
Infrastructure	2%	10%
Credit		
Leveraged credit composite	-1%	5%
Alternative credit composite	-1%	4%

Apollo	Q1	LTM
Direct origination	0.5%	8.5%
Opportunistic credit	2.5%	11.4%
Multi-credit	1.0%	7.9%
Asset-backed finance	-1.0%	8.2%
Flagship PE	-0.3%	4.7%

Carlyle	Q1	LTM
Global private equity		
Corporate PE	-2%	3%
Real estate	1%	3%
Infrastructure & natural resources	9%	25%
Global credit	4%	15%

Ares	Q1	LTM
Credit		
Alternative credit	3.9%	15.3%
Opportunistic credit	-0.2%	11.7%
US senior direct lending	2.1%	11.8%
US junior direct lending	1.5%	14.8%
European direct lending	2.6%	9.2%
APAC credit	2.5%	20.3%
Corporate private equity	-1.1%	3.5%
Real assets		
Americas real estate equity	0.6%	5.9%
European RE equity	0.1%	3.1%
Infrastructure debt	1.9%	9.0%
Secondaries		
Private equity secondaries	0.9%	7.2%
Real estate secondaries	2.5%	7.9%

Blue Owl	Q1	LTM
Direct lending	-0.4%	8.5%
Alternative credit	1.7%	11.0%
Net lease	2.6%	14.7%
Real estate credit	1.9%	8.5%
Digital infrastructure	3.9%	2.6%

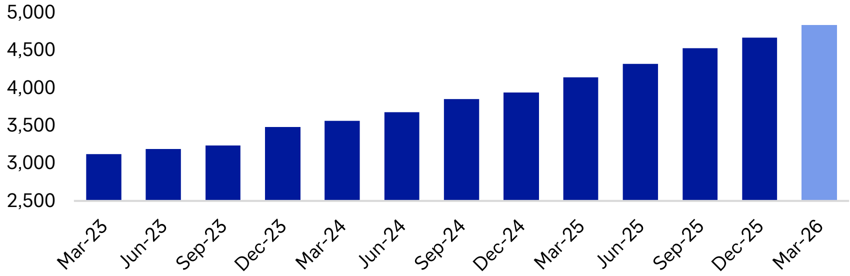
Blackstone	Q1	LTM
Real estate		
Opportunistic	-0.9%	-1.6%
Core+	0.8%	2.6%
Private equity		
Corporate private equity	3.2%	15.7%
Tactical opportunities	3.6%	10.9%
Secondaries	0.7%	12.7%
Infrastructure	7.8%	24.8%
Credit & insurance		
Private credit	0.6%	8.9%
Liquid credit	-1.3%	4.1%

TPG	Q1	LTM
Capital	-2.3%	6.7%
Growth	-1.5%	2.0%
Impact	0.3%	12.5%
Credit	2.2%	10.8%
Real Estate	1.9%	8.3%

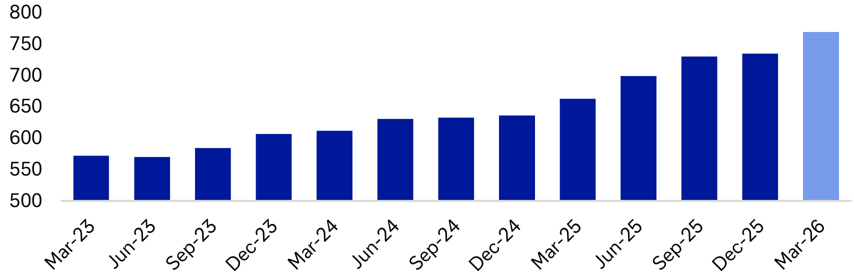
Source: Company reports, Bloomberg Finance LP, Deutsche Bank. Note: Performance reflects gross returns or appreciation depending on the manager, strategy and time period.

Growth in key metrics for selected large private capital managers – strong AUM growth but softer earnings QoQ

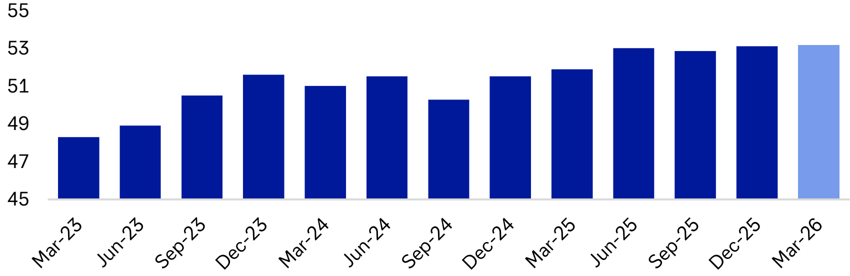
Total AUM in $bn



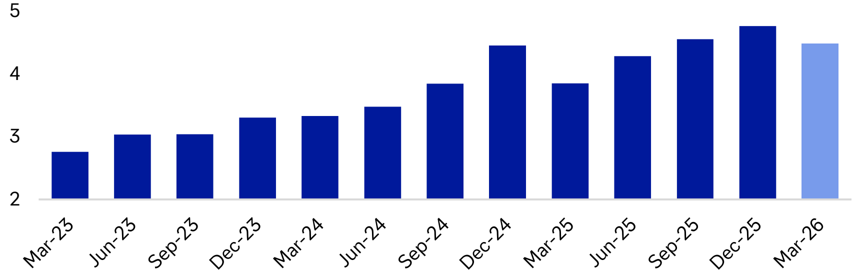
Dry powder in $bn



Average fee-related earnings margin (%)



Fee-related earnings in $bn



Source: Bloomberg Finance LP, Deutsche Bank.

Management comments – focus on resilience amidst a more volatile backdrop

- Stephen Schwarzman of Blackstone: "Blackstone delivered outstanding first-quarter results despite the turbulent environment, highlighted by almost $70 billion of inflows and positive appreciation across nearly all of our flagship strategies. Our all-weather model protects us in these times of disruption while also allowing us to invest where we see the greatest opportunity"
- Joseph Bae and Scott Nuttall of KKR: "Against a volatile backdrop, monetization activity accelerated, and over the past 12 months we've invested more capital on behalf of our clients than at any point in our history. We are highly confident in the strength of our platform and our long-term positioning."
- Marc Rowan of Apollo: "Our first quarter results set a strong tone for the year, with record fee-related earnings and assets under management surpassing $1 trillion – a testament to the trust our clients place in us and a reminder of the value we create at scale. Whether we're originating investment grade credit, delivering retirement solutions, or developing new products and capabilities, innovation and discipline continue to drive us forward."
- Harvey Schwartz of Carlyle: "Our first quarter results reflect continued momentum executing against our strategic plan. Carlyle AlpInvest delivered another quarter of exceptional growth, fundraising for both institutional and wealth clients had a strong start to the year, and we had a record quarter for U.S. Buyout realizations – each reinforcing our confidence in the path to achieving the 2028 targets…"
- Michael Arougheti of Ares: "We reported strong first quarter results highlighted by continued growth across our key financial metrics, including record first quarter fundraising of $30 billion, up more than 45% year over year. We are on track for another record year of fundraising as we continue to see broad-based investor demand across our platform. We also continue to see strong fundamental performance across our investment portfolios despite the volatile market environment"."
- Jon Winkelried of TPG: ""TPG's strong first quarter performance reflects the significant momentum across our global platform, as the scale of our franchise and consistent execution continue to translate into powerful results. Over the past year, despite an uncertain macro environment, we delivered step function growth across capital formation, deployment, and realizations. Our resilient business model is intentionally built to navigate complexity and capitalize on opportunity. As our clients deepen their engagement with TPG, we are confident in our positioning and ability to deliver long-term growth and differentiated value for our stakeholders.."
- Doug Ostrover and Marc Lipschultz of Blue Owl: "Blue Owl's results for the first quarter of 2026 demonstrate the power of our three differentiated and scaled platforms, each of which has contributed to our continued expansion to $315 billion of AUM. Our financial results reflect stability, stemming from our durable capital base, and growth, driven by fundraising and ongoing capital deployment."

Source: Company reports, Deutsche Bank.

02.

Spotlight section: the key narratives weighing on private capital

1. Private capital outflows fears

Private capital managers argue that the "headline-driven" anxiety, particularly in the press and social media, is disconnected from the fundamental reality they are observing. While acknowledging a cyclical slowdown and elevated redemptions in some US retail vehicles, managers assert that the impact is contained and far less severe than portrayed. They point to strong portfolio performance, structural resilience of perpetual funds, and robust demand from institutional clients as counterweights. They highlight investor education, product diversification, and frame the current dislocation as a market share opportunity for scaled, trusted platforms.

Redemptions are concentrated and not systemic:

- Ares: for its non-traded BDC, the firm noted that the "majority of repurchase requests... came from a limited number of family offices and smaller institutions in select regions… Over 95% of our investors did not request redemptions"
- Blue Owl: for its OCIC fund, redemption requests were "concentrated with 1% of investors representing a majority of tenders" and approximately 90% of the investor base did not tender at all.
- Blackstone: on redemptions: "contrary to this popular idea that it's small investors that are leading the charge here, it is actually a smaller number of large investors who are double the size basically on average of the typical investor in these vehicles."

In sharp contrast to the retail wealth channel, managers report strong demand from institutional and insurance clients, who view the dislocation as an opportunity.

- Blackstone: mentioned the "striking the difference in terms of what we've seen from the institutional and insurance clients relative to the wealth channel," and noted that Q1 was one of their best quarters for credit fundraising from these clients on record.
- Ares: stated that "the institutional investor is not anxious. They're not allocating away from private credit. And in fact, I think they're looking at this as a huge opportunity to take advantage of a bizarre dislocation and bring liquidity into the market to capture excess return."
- KKR: received "meaningful inbound interest from institutions around our direct lending business" in the weeks leading up to their call, with clients viewing the dislocation as an "interesting entry point".

While acknowledging the reality of the outflows, managers assess their financial and strategic impact as minimal and manageable, saying that the growth in other areas far outweighs the softness in specific US wealth products.

- Ares: said its two private credit wealth products account for only 4.5% of its overall fee-paying AUM and that in a "very unlikely scenario" where if these funds experienced 5% quarterly redemptions for a full year with no new inflows, it would affect total firm FPAUM by only approximately 1% annually.
- Blue Owl: Net outflows from its two BDCs were less than 6 basis points of the firm's beginning-of-period AUM, with the funds collectively making up less than 17% of total AUM.
- KKR: Its private BDC footprint is "even smaller, around $3 billion of AUM or 0.4% of our AUM in total".

There is a consensus that the softness is cyclical and temporary. Managers are not altering their long-term plans for the wealth channel. Blackstone said it will continue to expand its wealth team and product suite at a "fairly rapid pace". Ares confirmed it has not changed its fundraising guidance.

- Blackstone, drawing a parallel to the earlier noise around his firm's real estate vehicle, stated, "We're going to get through this like we've always gotten through these moments, and the products will continue to grow".
- Blue Owl expects to "continue to be in a softer environment in wealth" but can maintain its margin targets regardless.

Managers defend the redemption gates (typically 5% of NAV per quarter) as a fundamental and necessary feature of the products, designed to protect investors from forced asset sales and match the illiquid nature of the underlying loans.

- Blackstone noted, "These caps on redemptions are not a bug. They're a feature of these products... The key question is, are you offering a premium in exchange for giving up this liquidity?"
- Blue Owl noted that for its OCIC fund, regular-way paydowns from underlying loans were almost $3 billion in the quarter, providing 3x coverage for the $1 billion in gross redemptions, before considering new inflows or credit lines.

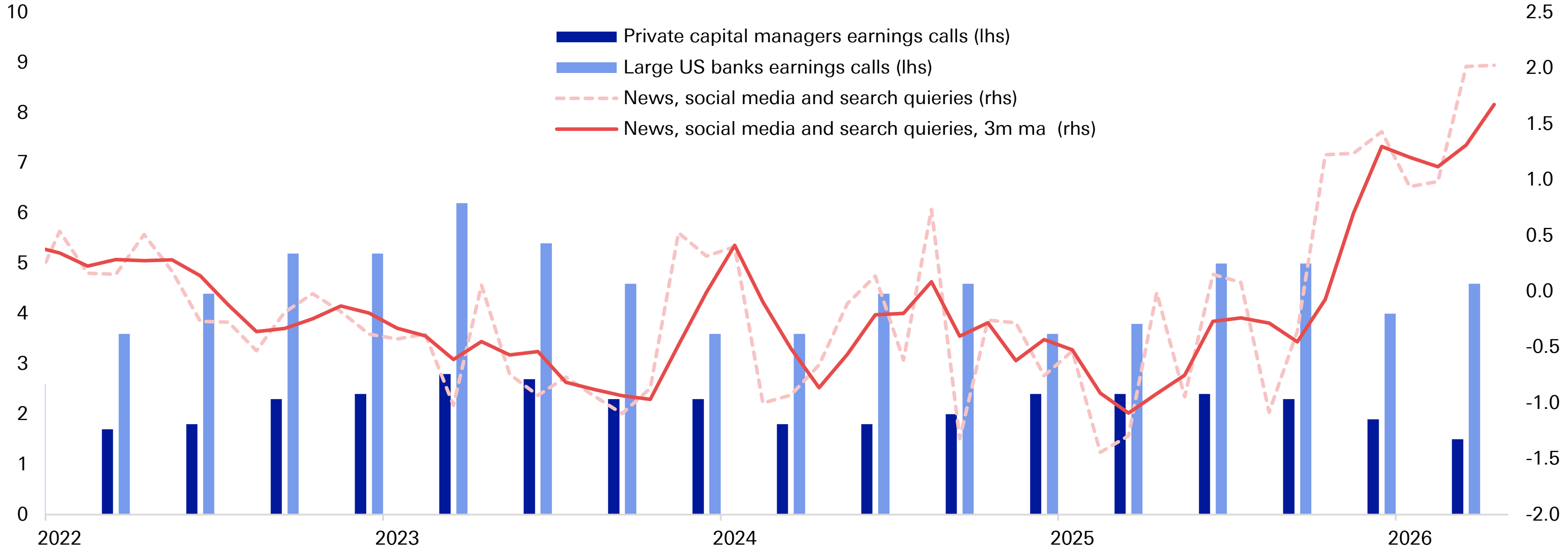
Product and channel diversification: Capital that might have gone to a US BDC can be seamlessly deployed elsewhere.

- Ares explicitly stated that any capital not deployed in its non-traded vehicles will be "taken up by other traded and institutional funds and SMAs with limited to no impact to our current year profitability". They also highlighted very strong inflows into their European direct lending and SME funds.

Source: Bloomberg Finance LP, Deutsche Bank.

When we asked our AI tools to contrast sentiment around private credit risks, it is clear that there is a big disconnect between sentiment in the media, which is the most negative it's been for a while, and private capital managers, who have been more concerned about this topic in 2023 when impact of rate hikes and recession risks were at the forefront. This is true for large US banks as well.

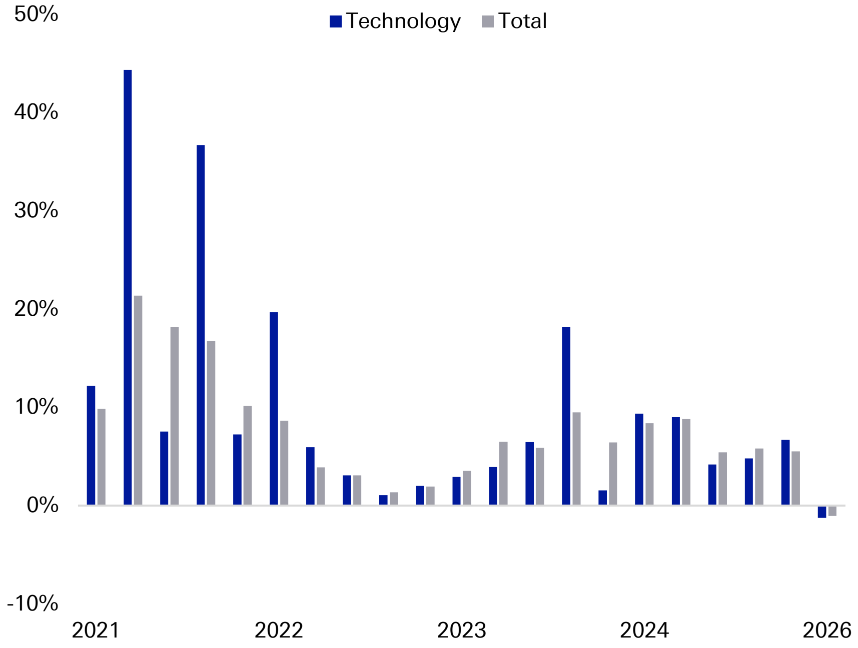
AI analysis of sentiment around private credit risk
(higher = more concerns; maximum of 10 for private capital and banks sentiment)



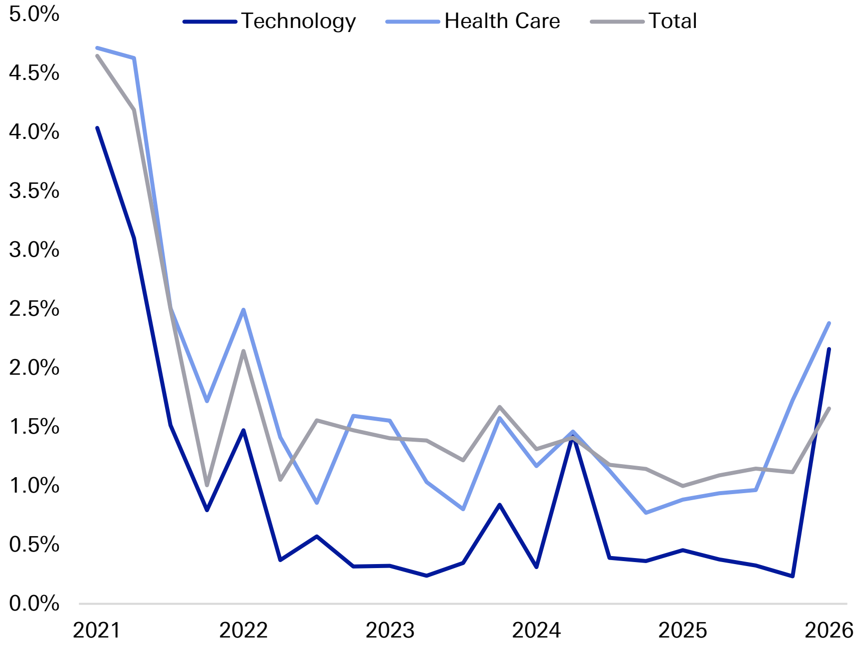
Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

While there has been a lot of focus on net outflows and rising default rates in BDCs, these metrics are worsening after quarters of strong growth and low credit stress economy-wide. Some decompression is reasonable as sentiment gives a pretext for some overdue write-downs, especially in tech. Nevertheless, the equity layer will need to deteriorate more to see big increases in overall default rates. Commentary from PE-driven managers suggests this is not an immediate concern

Growth of fair value of total assets of all selected BDCs *



Non accruals as % of assets at cost, all selected BDCs *

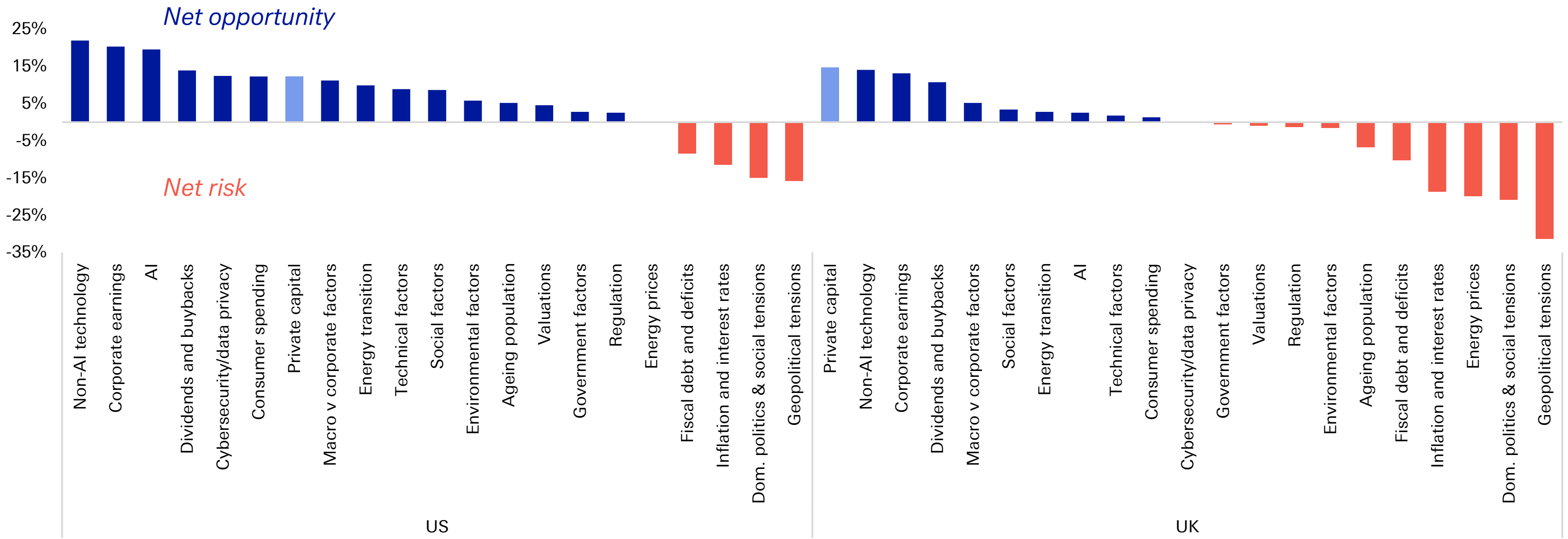


*Source: Bloomberg Finance LP, Deutsche Bank. * Note: as tracked by Bloomberg, total assets of c $420bn.*

Our survey of around 500 people in both the US and UK (a representative sample of the population) shows that the sentiment amongst the broader public towards private capital is sanguine. This is in contrast to market participants, which placed private capital risk third in our survey at the end of 2025 when asked about the biggest risks to market stability in 2026, which shows the impact of financial media sentiment.

For each investment theme listed below, please indicate whether you perceive it as a risk or an opportunity for investors in 2026

Mean score ranging from 1 (significant opportunity) to -1 (significant risk)



Source: dbDataInsights, Deutsche Bank.

2. How serious is AI disruption risk for portfolios?

Still an equity question first. While services and tech make up c50% of BDC assets, we will need to see bigger markdowns by sponsors first to signal a lack of support from the equity cushion. Big managers assessment of their equity exposure shows this is not likely soon.

Managers are taking AI risk seriously, particularly within software, but generally view their direct exposure as limited and well-underwritten. They have quantified their exposure and stress-tested portfolios, concluding that the immediate risk to their credit-focused strategies is manageable:

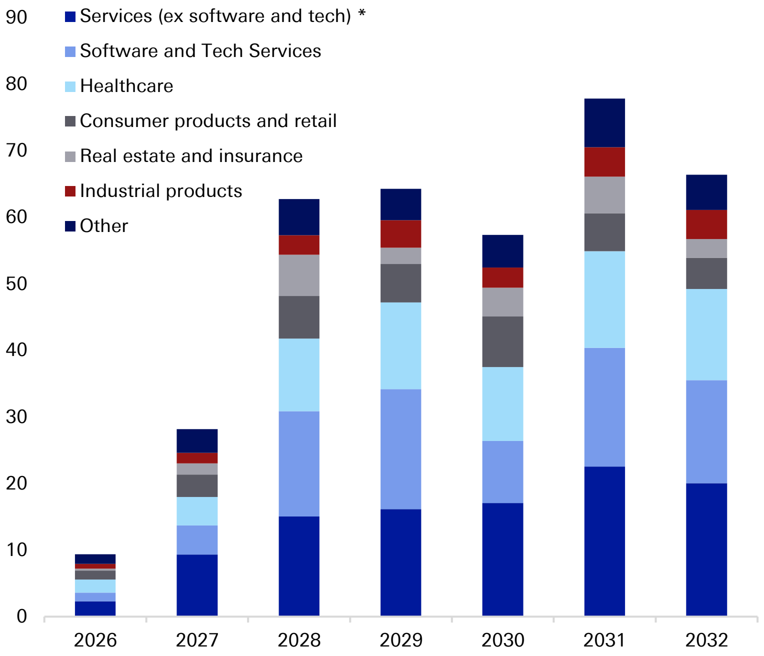
- **KKR:** Software represents **7%** of total AUM, **15%** in private equity, **5%** in credit, and **2.5%** in Global Atlantic. While public market weakness led to markdowns, the underlying software companies are seeing healthy single-digit revenue and EBITDA growth.
- **Ares:** Conducted a nine-week independent review of its software portfolio (6% of total AUM, <8% of private credit AUM). The study concluded the portfolio is "very well positioned," with **86%** classified as low-risk, **13%** as medium-risk, and only **1%** as high-risk of AI disruption. This high-risk portion represents less than 1% of the firm's total AUM.
- **TPG:** Has undertaken a "systematic review of the risks in and outside of software." In its TPG 8 fund, work showed that only **7%** of the remaining value fell into a "mitigate category" where material risk is perceived.
- **Blue Owl:** Acknowledges a "software maturity wall" coming in 2028-29 but stresses that its tech portfolio consists of very large companies (average EBITDA of $320 million) with significant equity cushions from sponsors. They view the current situation as an "equity question, not a debt question".

How are managers mitigating the risk?

Mitigation strategies include proactive portfolio re-underwriting, strategic divestment, internal AI adoption for productivity, and a thematic pivot toward AI-beneficiary assets.

- **Blackstone** is assessing companies based on their incumbency models, proprietary data, and workflow integration. **Ares** is focusing its senior lending on companies providing core operational software for regulated industries, avoiding more vulnerable areas like content generation.
- A cross-firm strategy is to invest heavily in the infrastructure enabling the AI revolution, mostly data centres. The need for data centres directly feeds into the need for more power. **Blackstone** is the most active private investor in the US utility sector.
- Leveraging AI in portfolio companies: **KKR** has deployed AI across over 150 portfolio companies to automate workflows and enhance products, using its operational team, Capstone, to ensure lessons are shared across the firm. **TPG** is investing to help its software portfolio companies leverage AI opportunities.

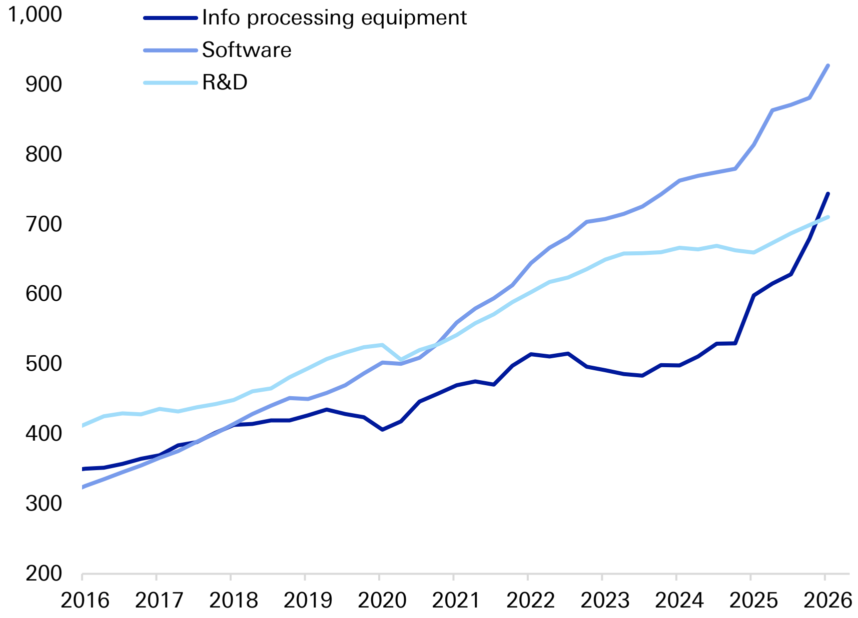
Selected BDCs, maturities by industry ($bn)



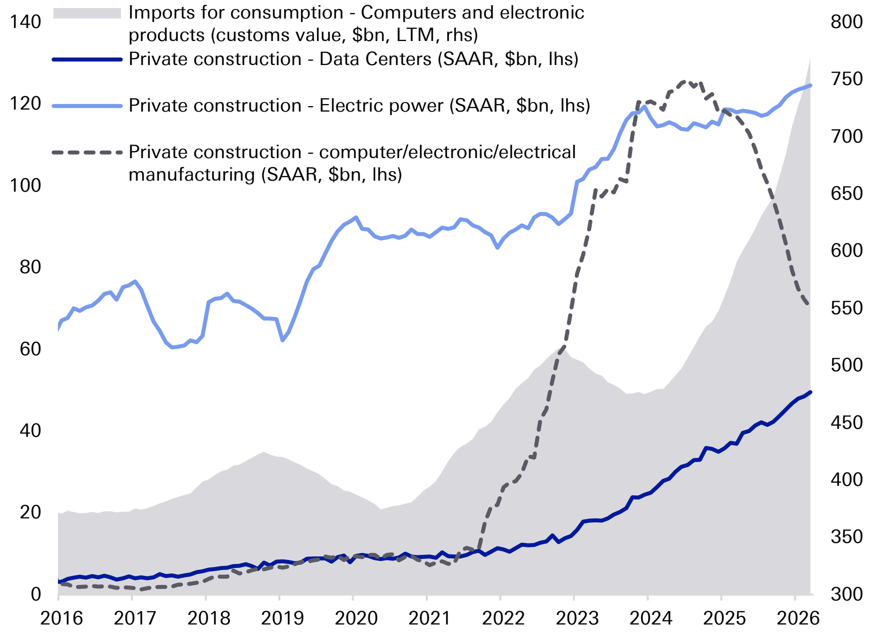
*Source: Bloomberg Finance LP, Deutsche Bank. * Note: services include industries such as industrial, consumer and financial services; BDCs as tracked by Bloomberg, total assets of c $420bn.*

In the meanwhile, managers are doubling down on infrastructure investments amidst investor appetite for the AI theme, and this is likely to further fuel AI build out. Power is amongst the bottleneck private capital firms are likely to tackle further.

Real private non-residential fixed investment (SAAR, bn 2017 chained dollars)



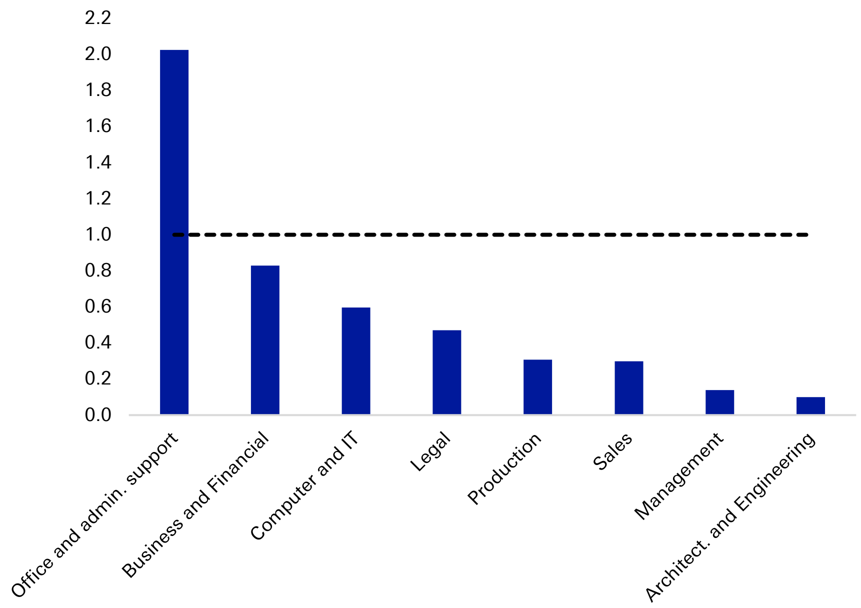
Data centre construction has run ahead of new (electric) power investments



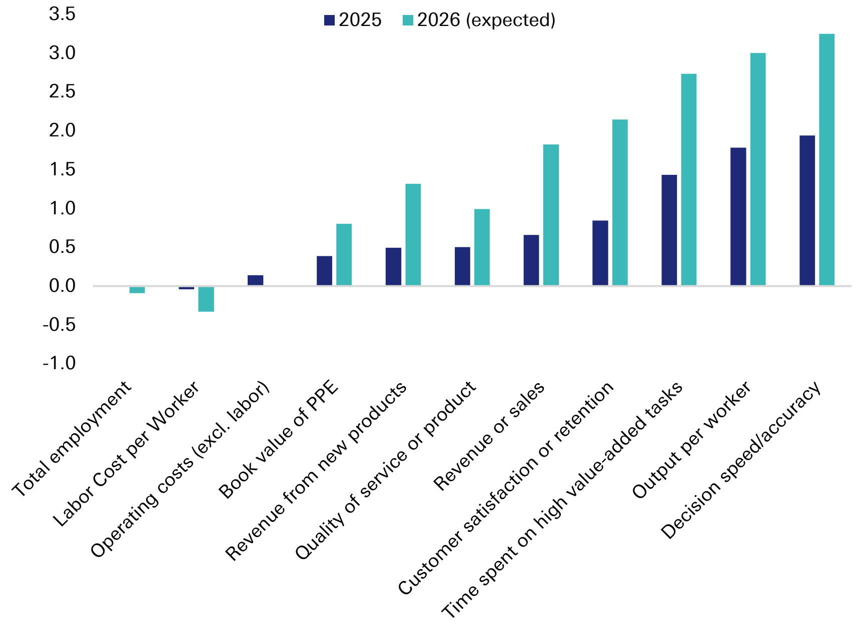
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

For software, the wide range of potential outcomes of AI's impact means a more benign path than the media suggests may be plausible. Indeed, US CFOs expect the fastest growth in AI's impact in 2026 to be in, first, generating more sales and then some productivity gains and do not describe most corporate roles as outright replaceable or see a significantly negative impact on headcount.

CFO survey: AI negative exposure index by occupation group
ratio of replacement mentions to enhancement mentions, >1 indicates that AI is more frequently described as replacing rather than enhancing tasks



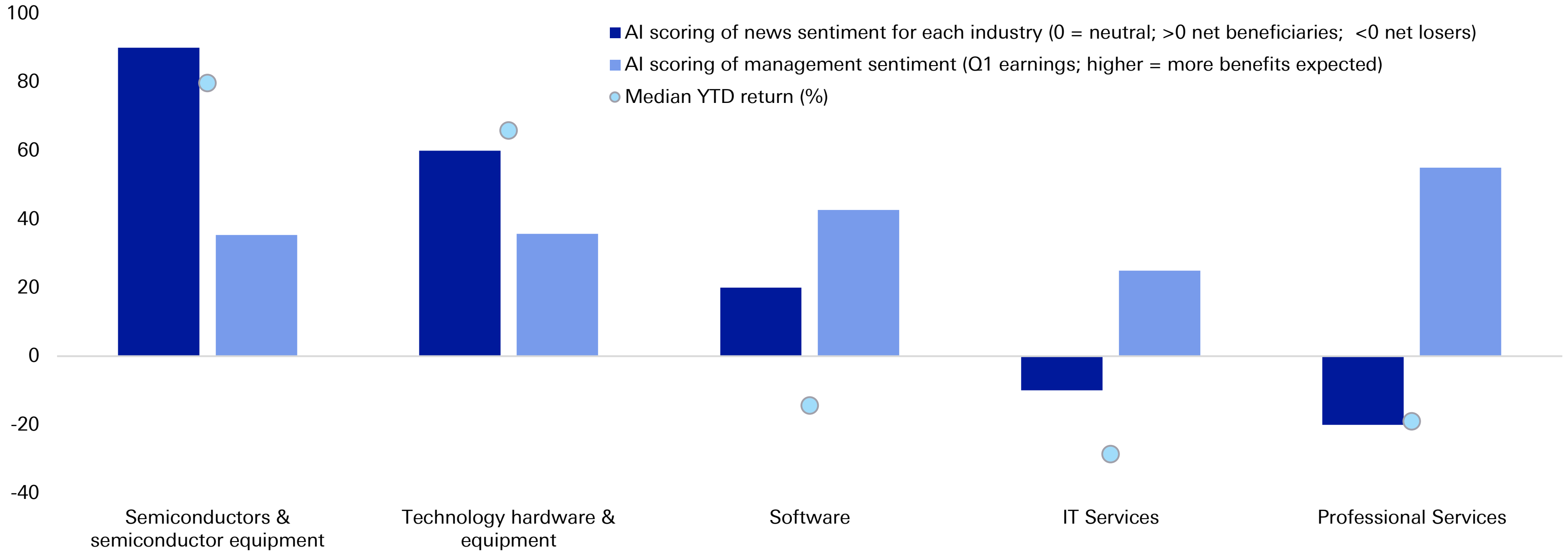
The impact of AI usage on firm outcomes
(%, averages across bucketed options)



Source: Bloomberg Finance LP, Richmond Fed CFO survey, Federal Reserve Bank of Atlanta "Artificial Intelligence, Productivity, and the Workforce: Evidence from Corporate Executives", Deutsche Bank.

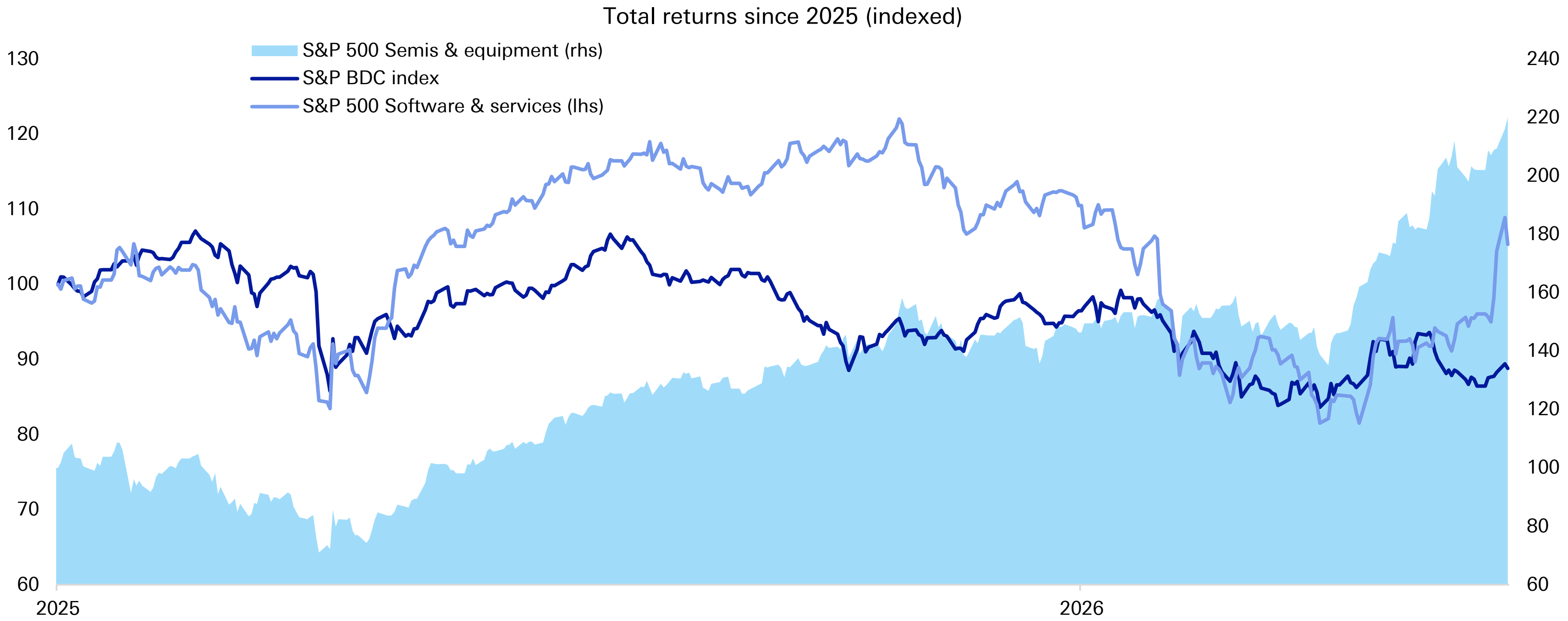
Moreover, our AI scoring of software risk sentiment again shows a big disconnect between what companies and media are saying about AI disruption risk, and, as the result, the potential mispricing in tech and services shares.

AI scoring of media and management sentiment around AI disruption risk for selected industries and their YTD performance (S&P 500 stocks)



Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

So there is still room for fears of AI doom in software to allay. This should return some confidence in the BDC market as well.



Source: Bloomberg Finance LP, Deutsche Bank.

3. Geopolitical volatility

Managers view the recent conflict in Iran as the latest in a series of "market-moving events" since 2020 that are challenging periods to navigate, but which do not derail long-term strategy. While sponsored dealmaking has been soft in recent months, it held up better ex. tech. Private capital is likely to further channel deployment into areas with thematic tailwinds like energy and security for now.

1. The message is that geopolitical shocks create near-term volatility but ultimately dealmaking recovers.
2. Managers view the conflict and broader geopolitical splintering as an accelerant for pre-existing investment themes such as defence and energy security.
3. Geopolitical uncertainty is a key factor impacting the monetization environment and the views are mixed.

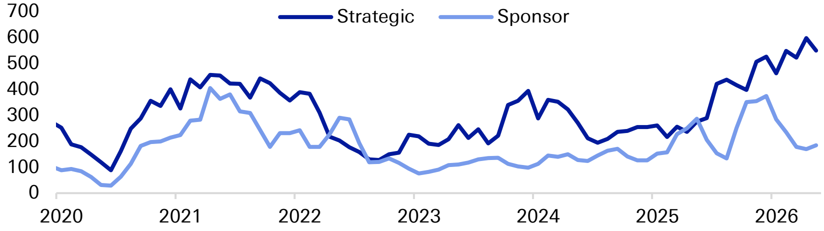
How serious is the impact on portfolios and markets?

- Managers assess the direct impact on portfolio fundamentals as limited, but acknowledge the significant indirect impact on market sentiment, deployment pacing, and monetization timelines. The primary effect is a slowdown in M&A and capital markets activity as buyers and sellers pause to evaluate the new landscape.
- The conflict in Iran is cited as a reason for a pause in transaction activity. **Ares** noted that "when you see things like the conflict in Iran, you get a little bit of a pause as everybody just evaluates." However, they also reported that their aggregate pipeline is at a record level and that the direct lending pipeline is re-engaging, drawing a parallel to a similar pause after tariff announcements in April of last year, which was followed by a record deployment year.
- The increase in oil prices reinforces the strategic value of portfolios tilted towards energy and infrastructure. **TPG's** climate platform is benefiting from the increased focus on energy security, with the firm noting "The Strait of Hormuz may be bad for many things, but it's good for our business here," as it drives demand for renewables.

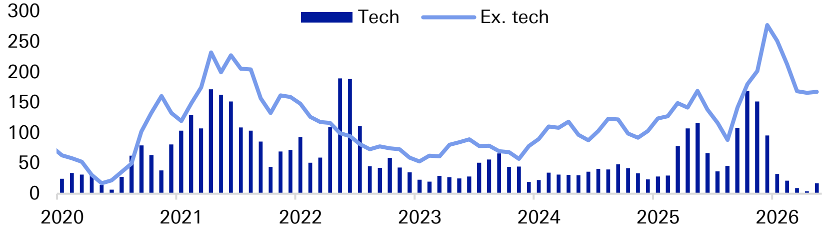
How are managers mitigating risk and finding opportunity?

- Managers repeatedly stress that their global and strategic diversification is the primary defence against localized geopolitical shocks.
- Managers are increasing exposure to physical assets and sectors benefiting from the focus on security and re-industrialization.
- In general, managers see the volatility as a chance to invest

US M&A activity has bifurcated between strength in corporate and weakness in sponsored deals…
($bn 3m sum)



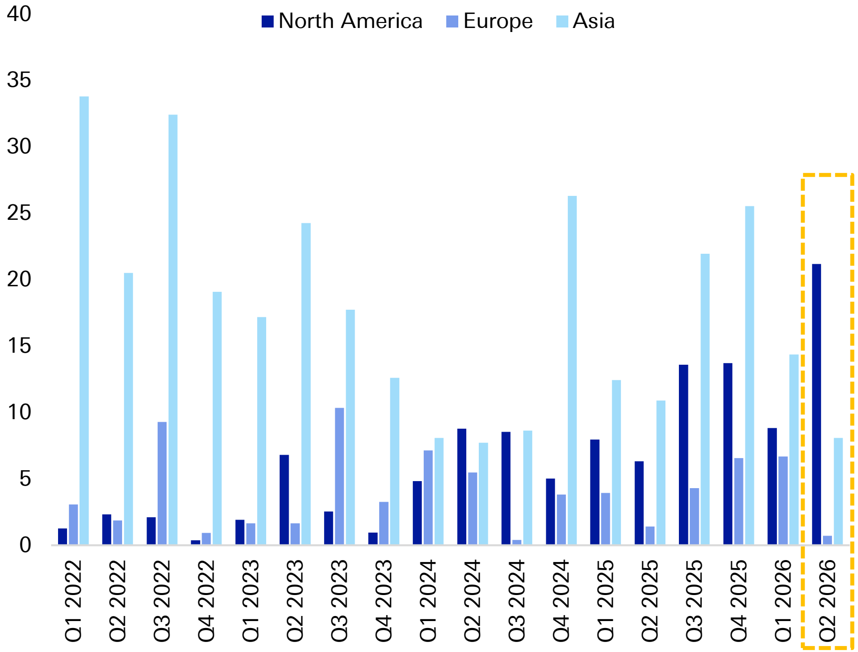
… but much of that PE weakness is tech-related. Other thematic sectors are in focus amidst all the dry powder
US sponsored M&A activity ($bn 3m sum)



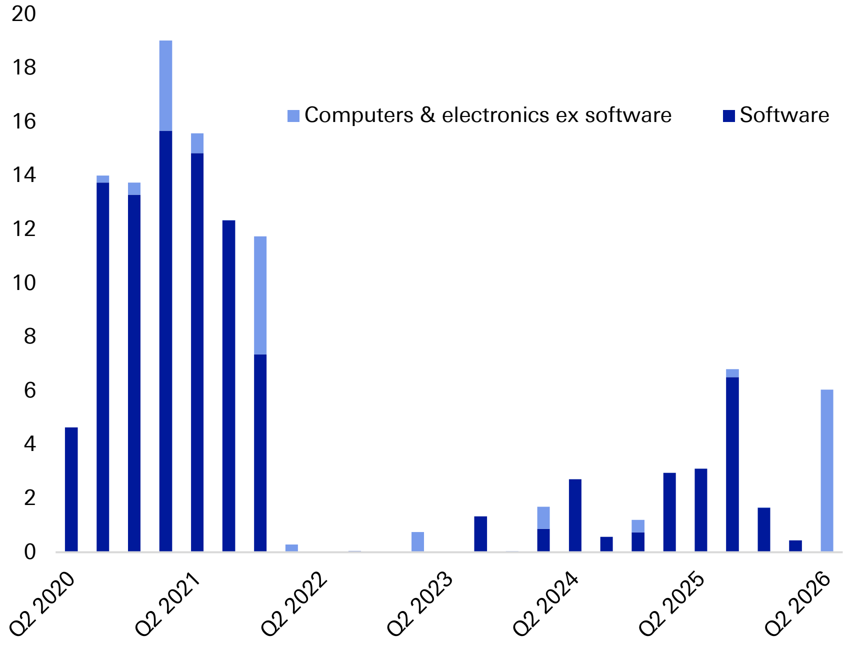
Source: Bloomberg Finance LP, Dealogic, Deutsche Bank.

For realisations, we expect IPO recovery momentum to continue through the rest of the year, with M&A activity also resilient. Although there are some near-term cooling risks, corporates have navigated a vast array of shocks and now are well-adapted to expect risks and volatility, supported by cash buffers and liquidity. This should keep a few options for sponsors to exit portfolio companies even if some market volatility persists. See more here.

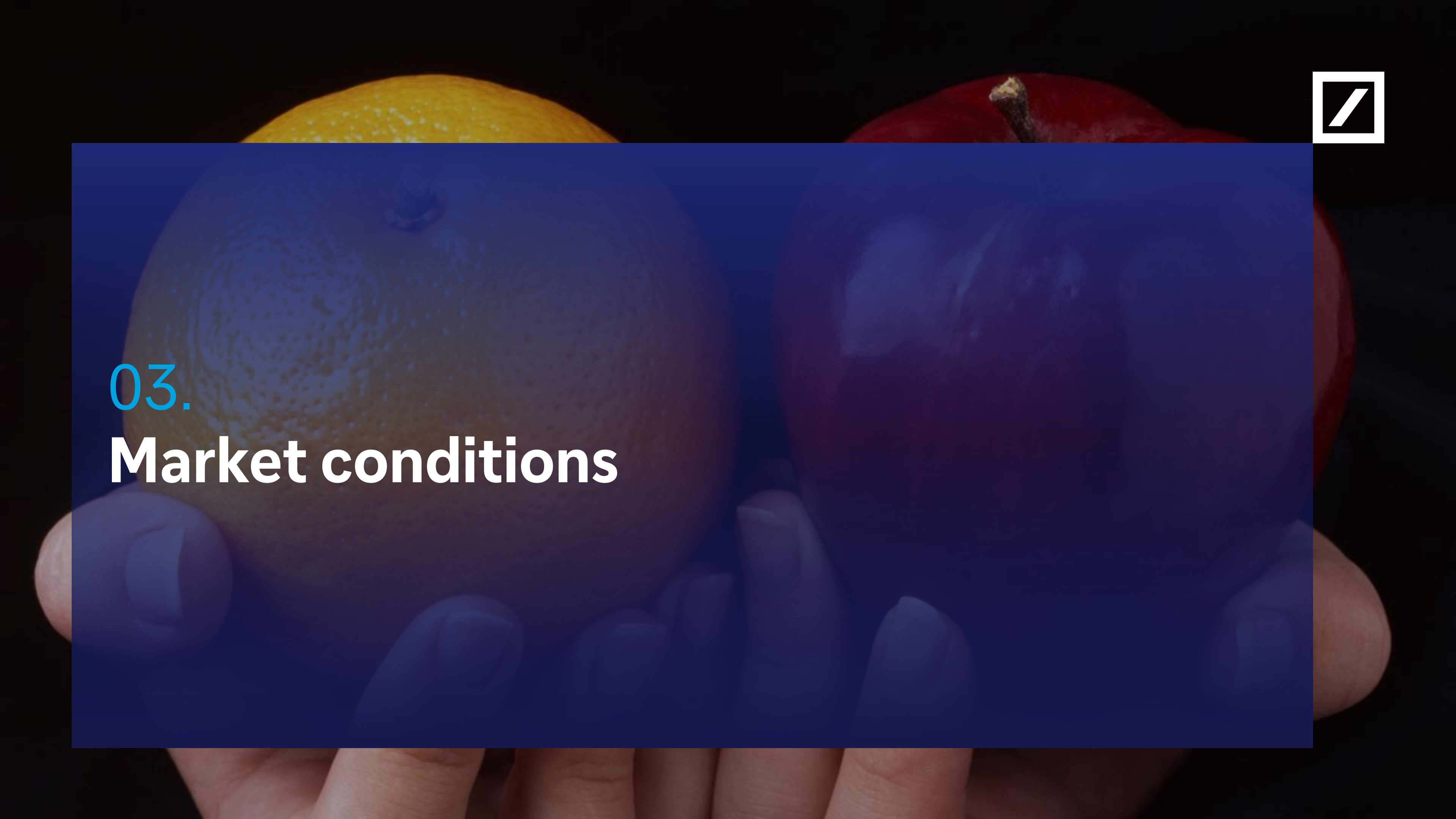
IPO deal values by region ($bn)*



North America IPOs, computer & electronics ($bn) *



*Source: Dealogic, Deutsche Bank. * Note: excluding financials, Q2 2026 is QTD as of May 18th.*



03.

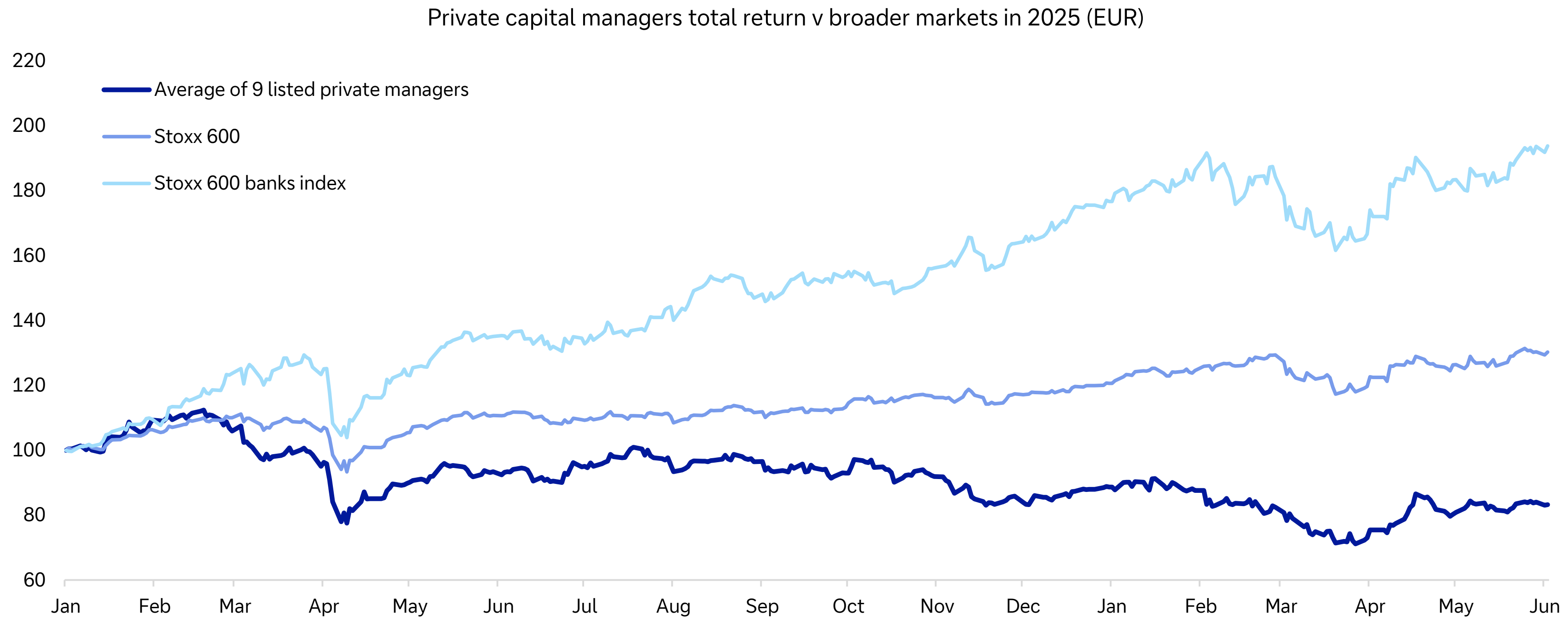
Market conditions

Shares of US-listed private capital managers are down -20% YTD amidst persistent negative sentiment and despite the recovery in the broader markets in Q2

Private capital managers total return performance relative to broader markets (USD)

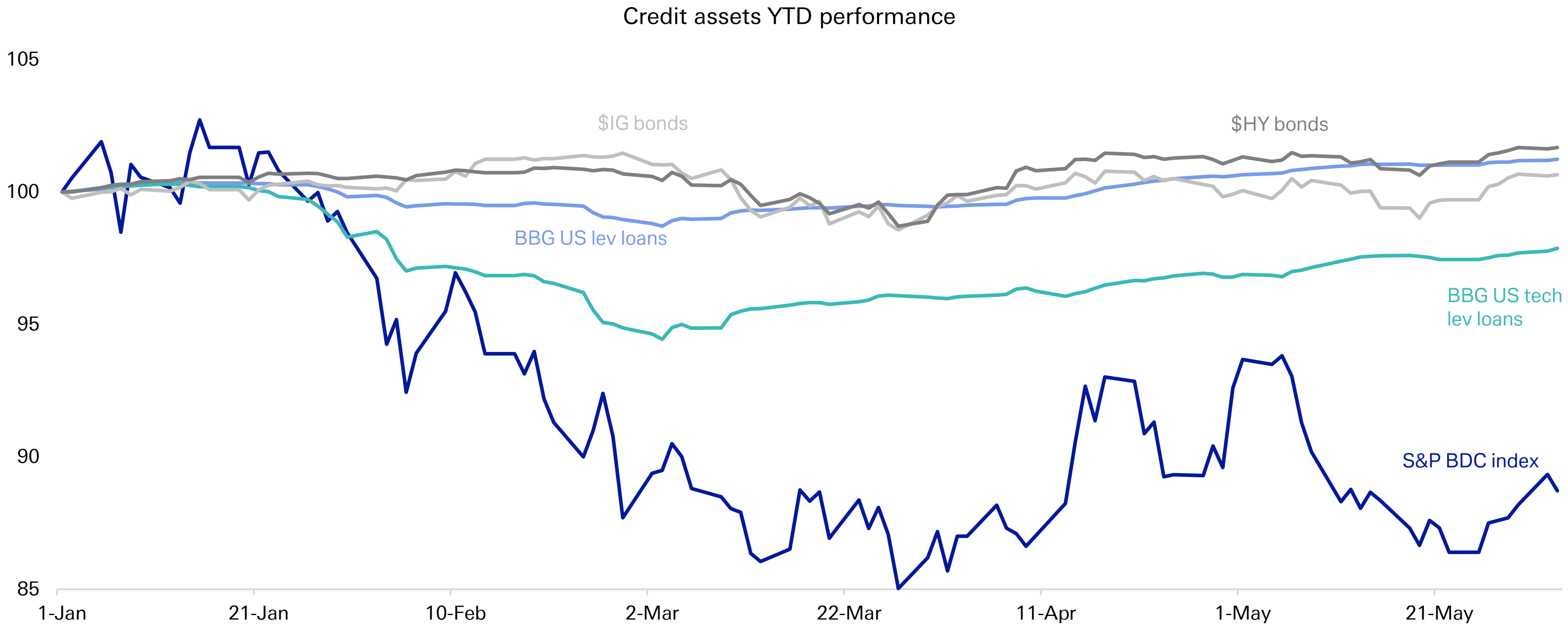
Source: Bloomberg Finance LP, Deutsche Bank.

The underperformance of private capital firms in Europe has been less stark this year (-5%)



Source: Bloomberg Finance LP, Deutsche Bank.

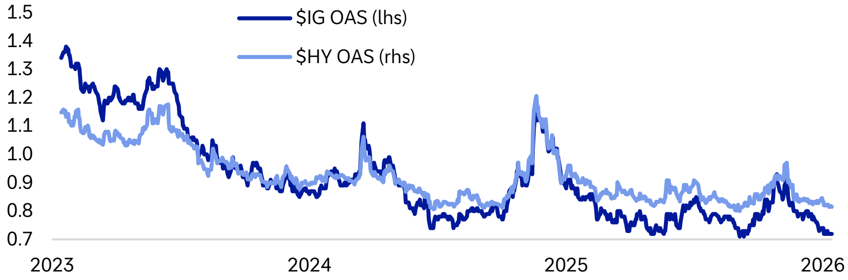
It's a similar story for BDC returns vs the broader credit markets



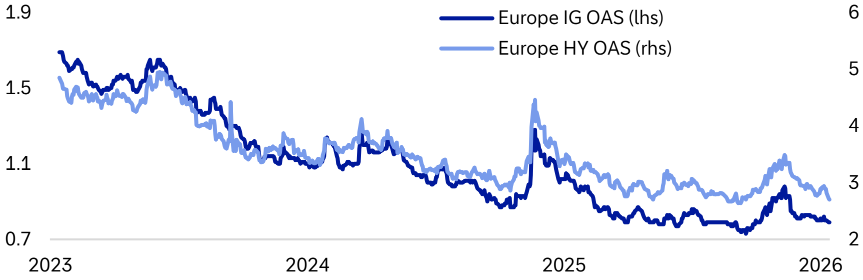
Source: Bloomberg Finance LP, Deutsche Bank.

Volatility is back to somewhat subdued in the US, with Europe's disadvantage amidst the Iran conflict more pronounced

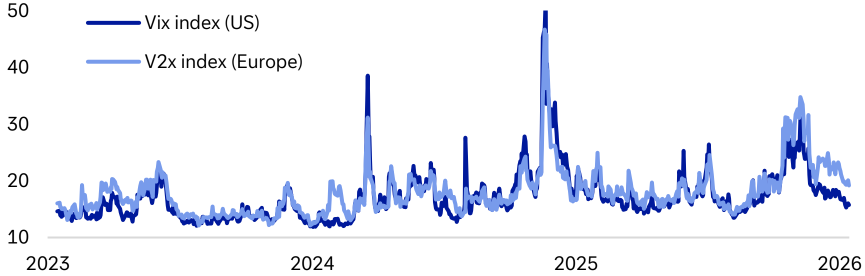
$ credit spreads (%)



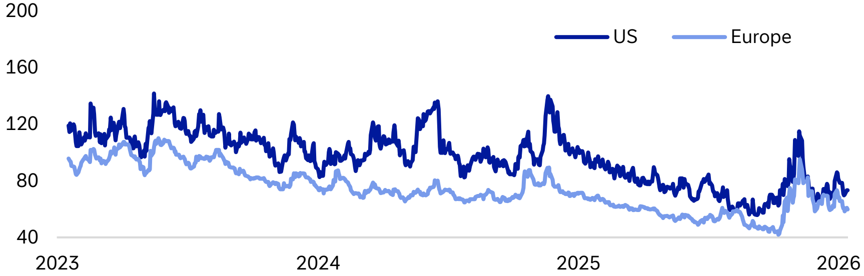
Europe credit spreads (%)



Implied equity volatility



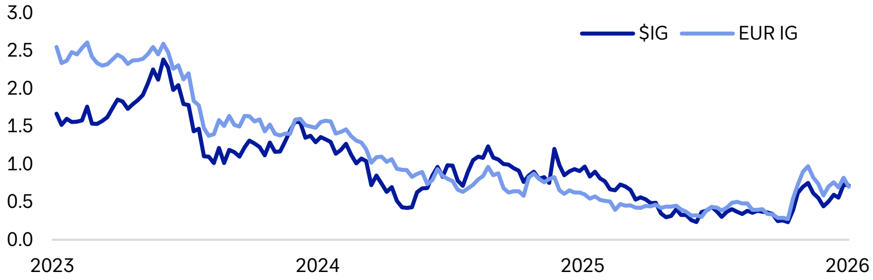
Implied rates volatility



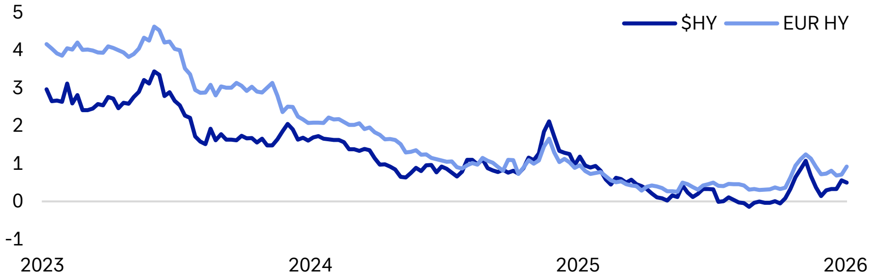
Source: Bloomberg Finance LP, Deutsche Bank.

Rising refinancing costs may deter some debt issuance but overall credit conditions remain favourable

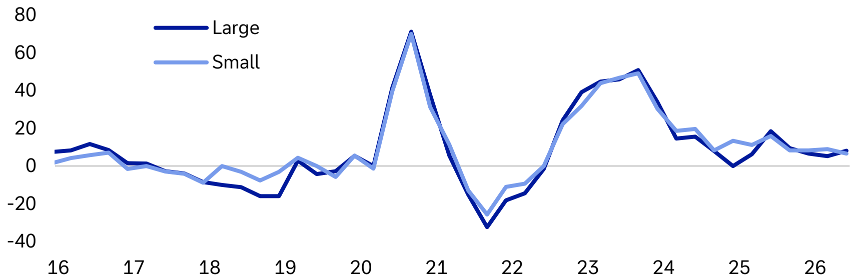
IG bonds - Refinancing proxy in %



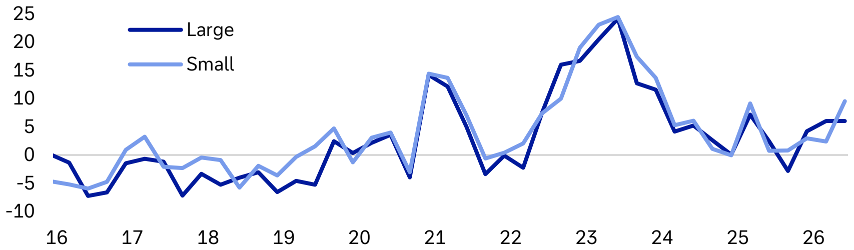
HY bonds - Refinancing proxy in %



Fed SLOOS: banks tightening standards for C&I loans to firms (%)

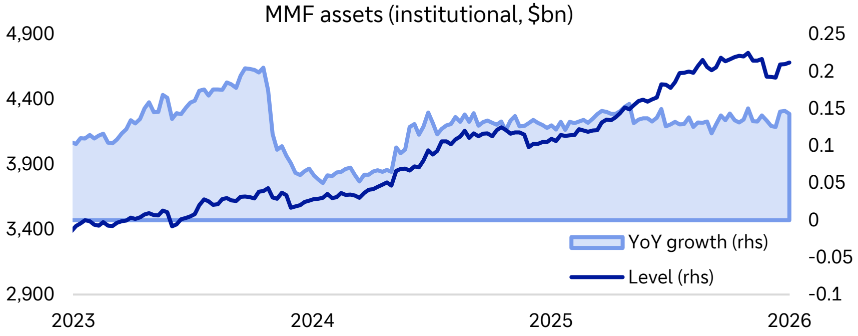


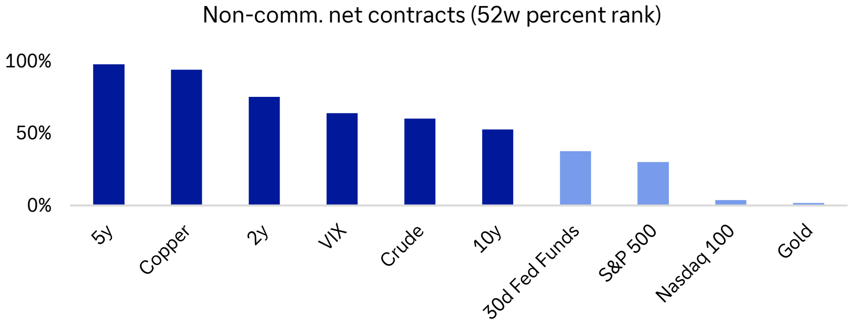
Euro Area bank lending survey: change in credit standards for business loans

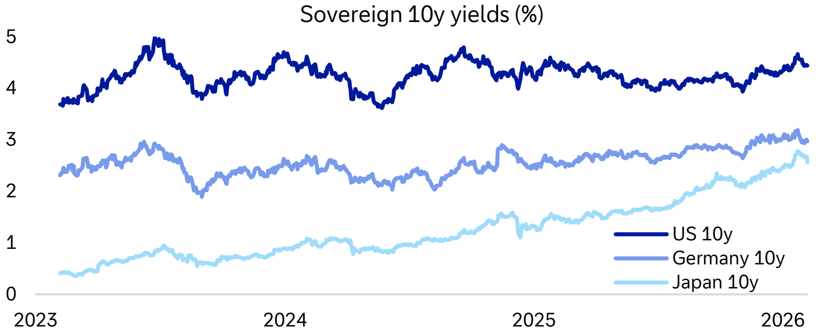


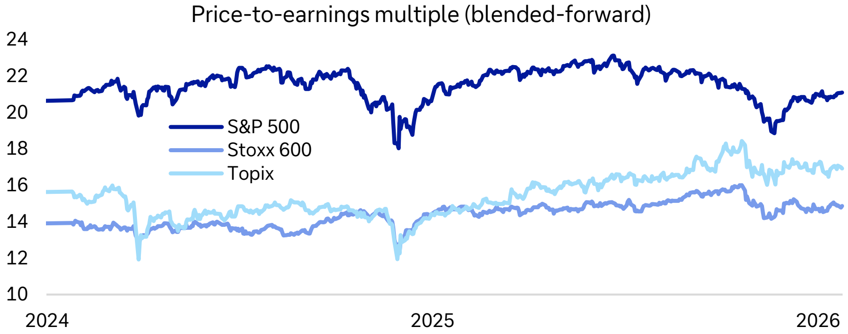
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

The extent of upward pressure on sovereign yields is understandably a key topic for markets. While the US economy and markets have been accustomed to rates in the current range in the past couple of years, the picture is more negative in Europe and Asia.





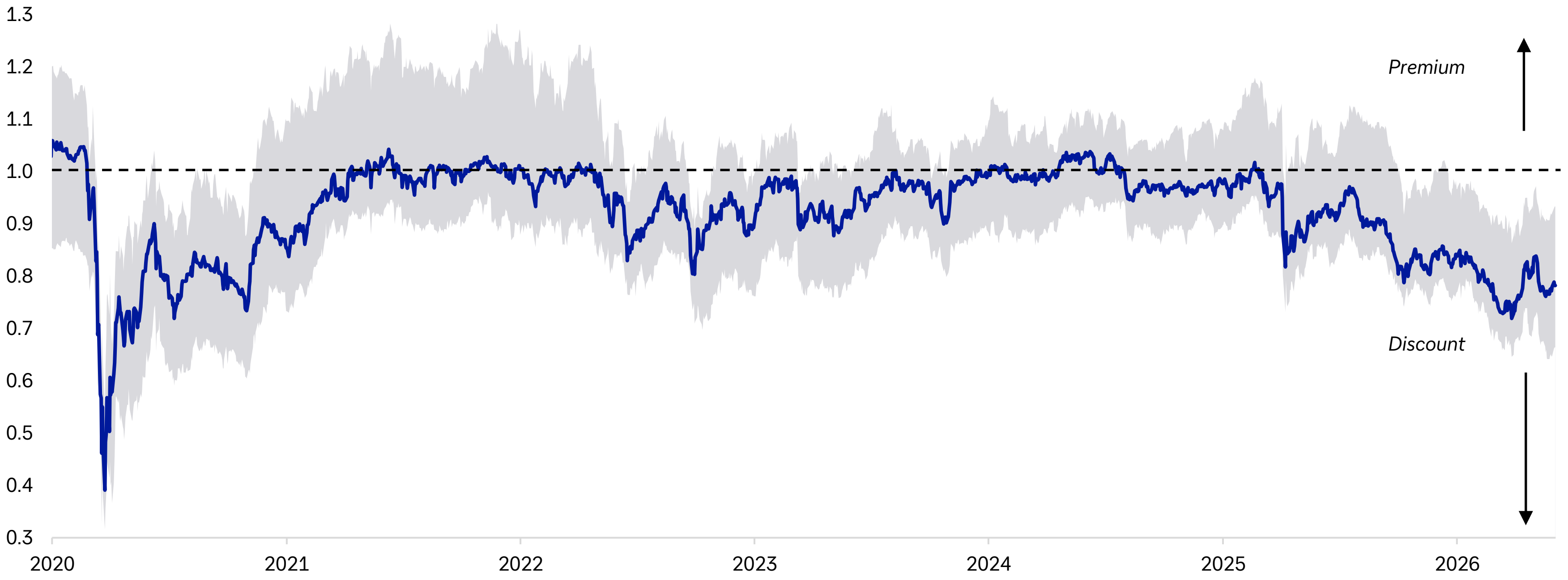




Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

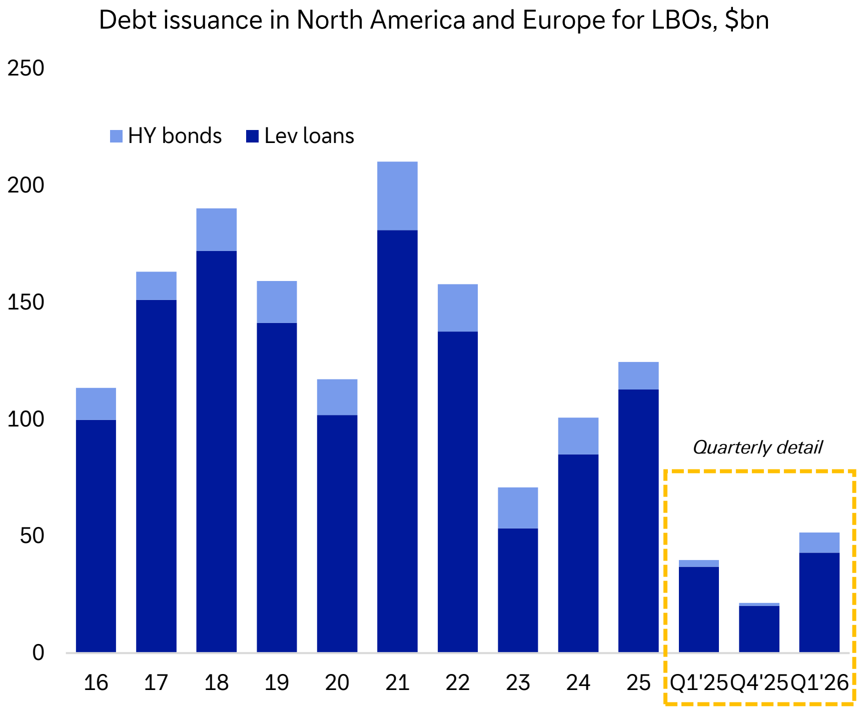
The median BDCs discount to NAV is still wide and now stands at c 23%. Around 25% of BDC investments tend to be in tech, suggesting severe concerns beyond just AI disruption risks.

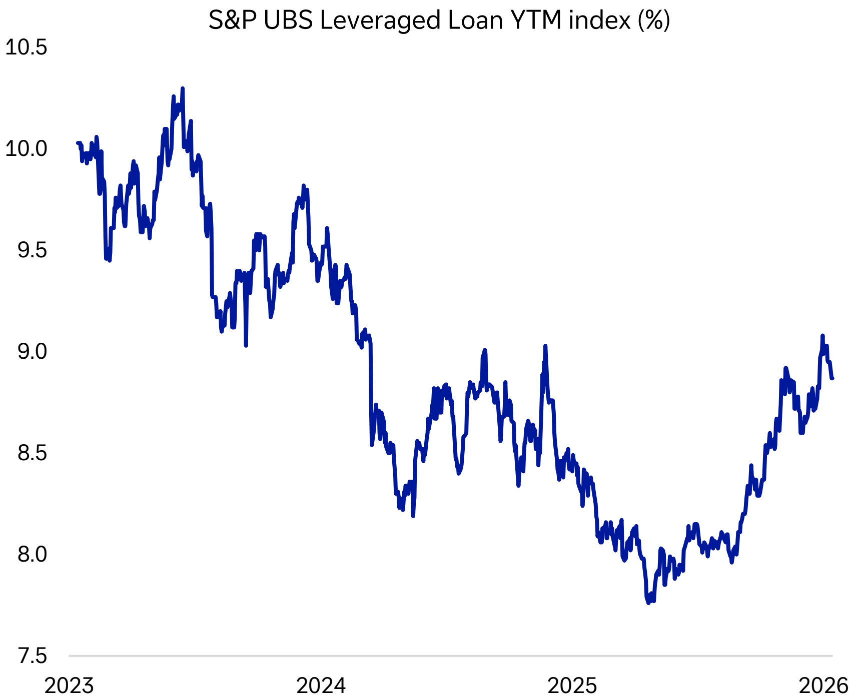
Median price-to-NAV ratio of funds in the S&P BDC index



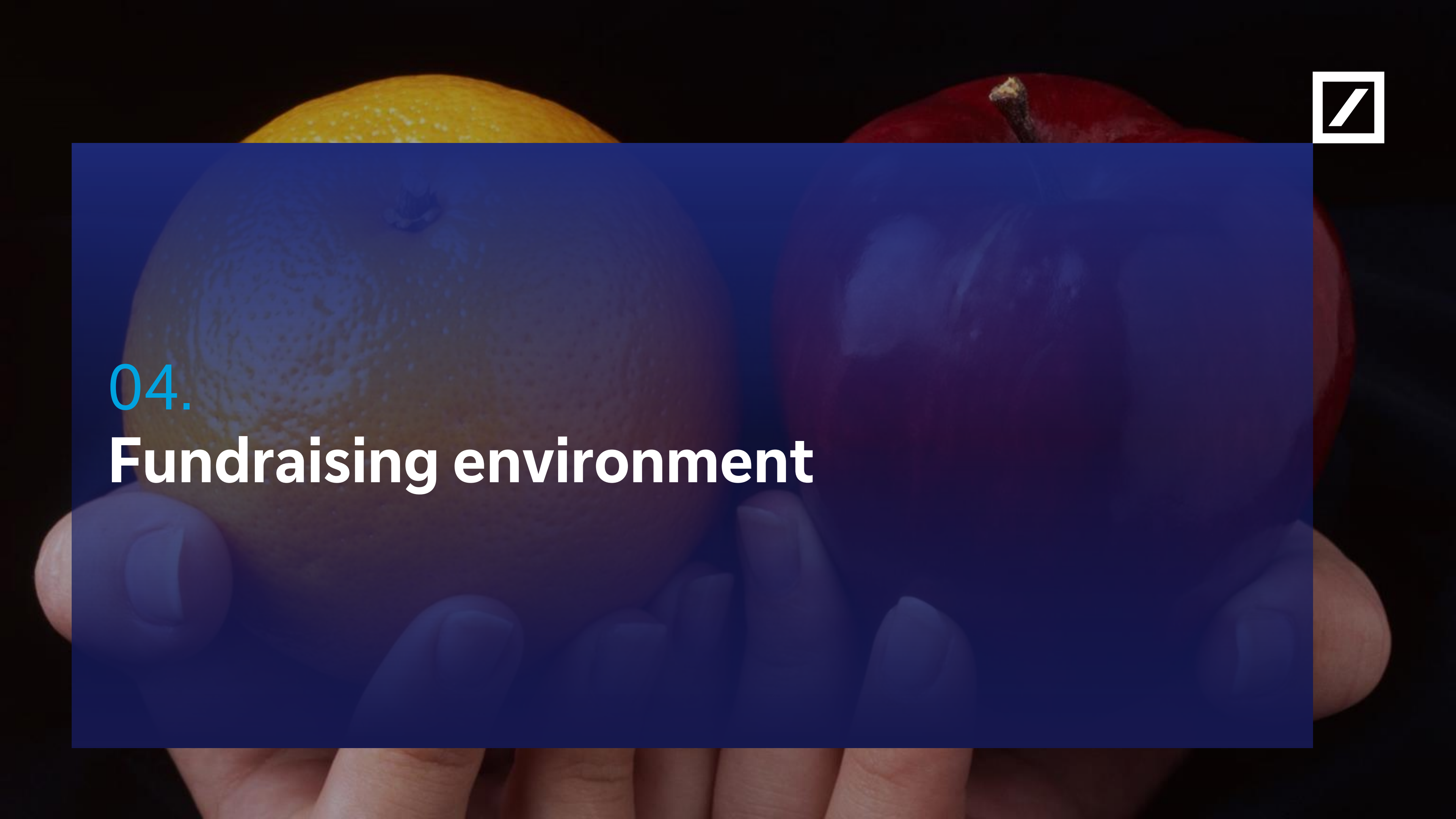
Source: Bloomberg Finance LP, Deutsche Bank.

Q1 debt issuance for LBOs is already at 40% of the 2025 total. Higher yields and spreads decompression will help attract investor demand for more deals.





Source: White & Case, Bloomberg Finance LP, Deutsche Bank.

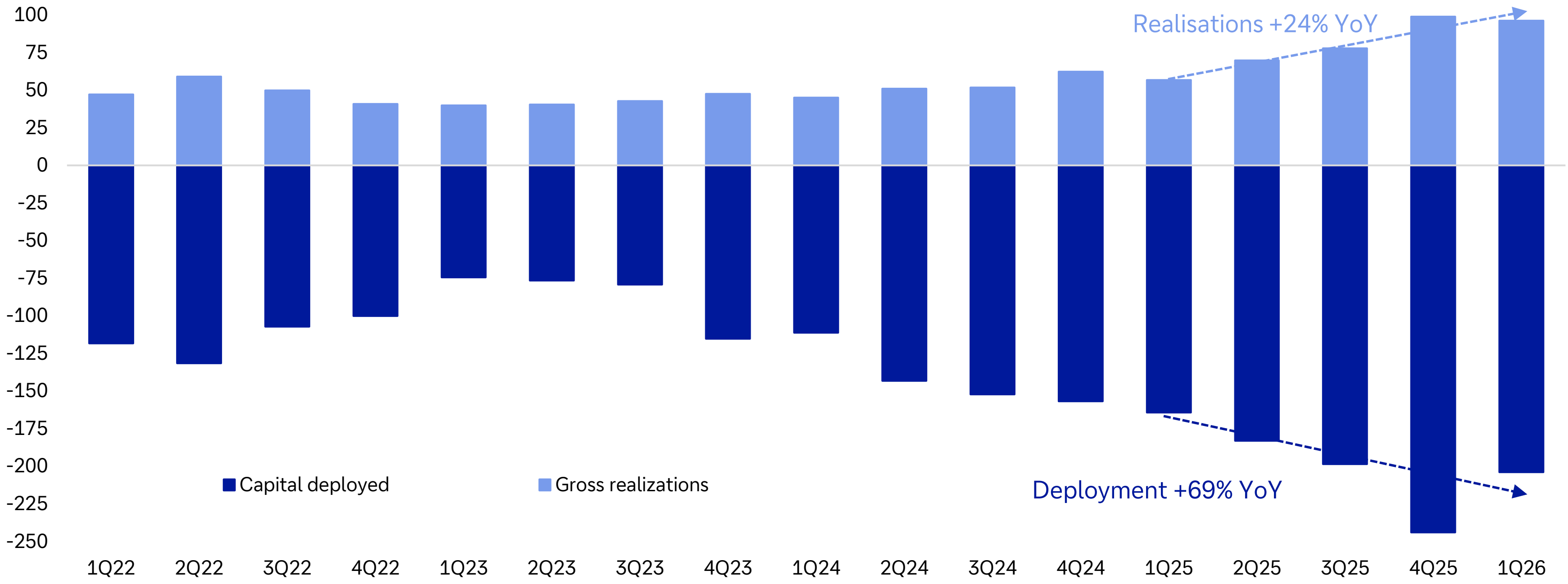


04.

Fundraising environment

Despite a QoQ drop, both deployment and realisations have been solid YoY

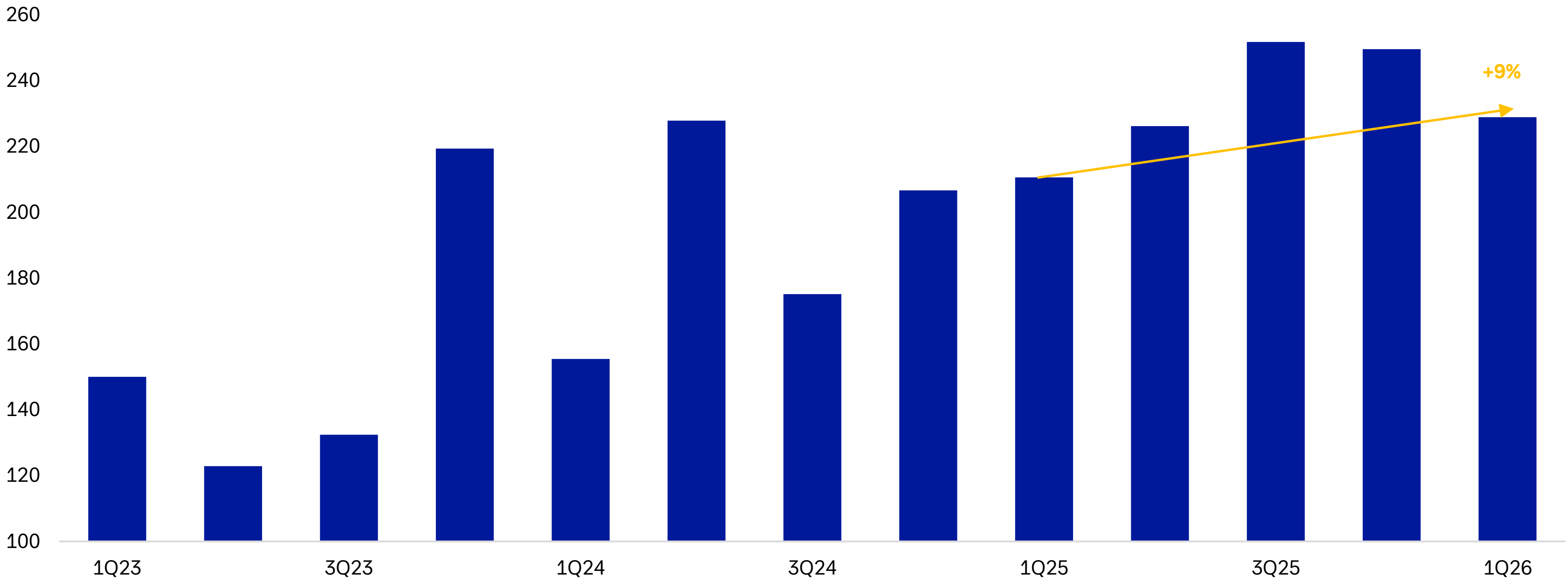
Selected private managers, deployment v realisations ($bn)



*Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](), Deutsche Bank. * Note: Deutsche Bank company research forecasts.*

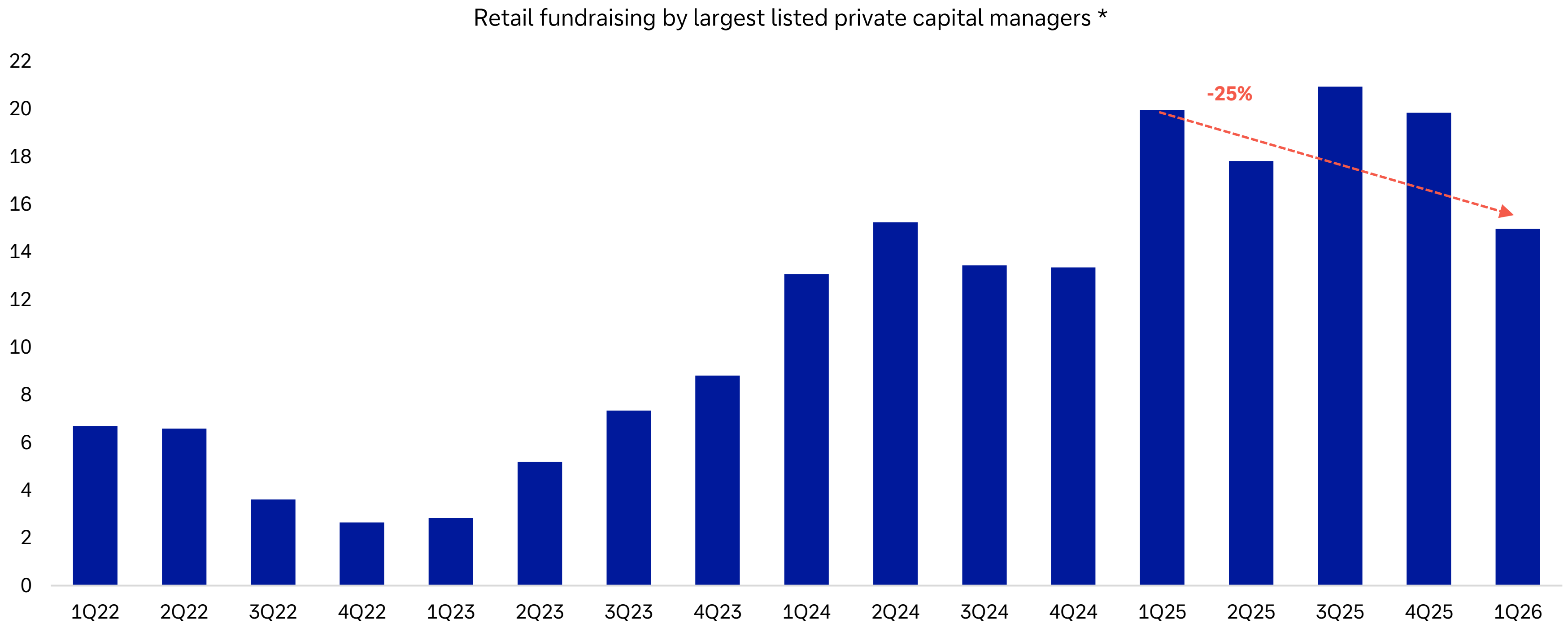
Aggregate fundraising growth continued in the negative territory. New fund launches will be the ultimate bellwether of LP sentiment and good progress on exits will help.

Fundraising by selected large, listed managers ($bn)



Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](), Deutsche Bank.

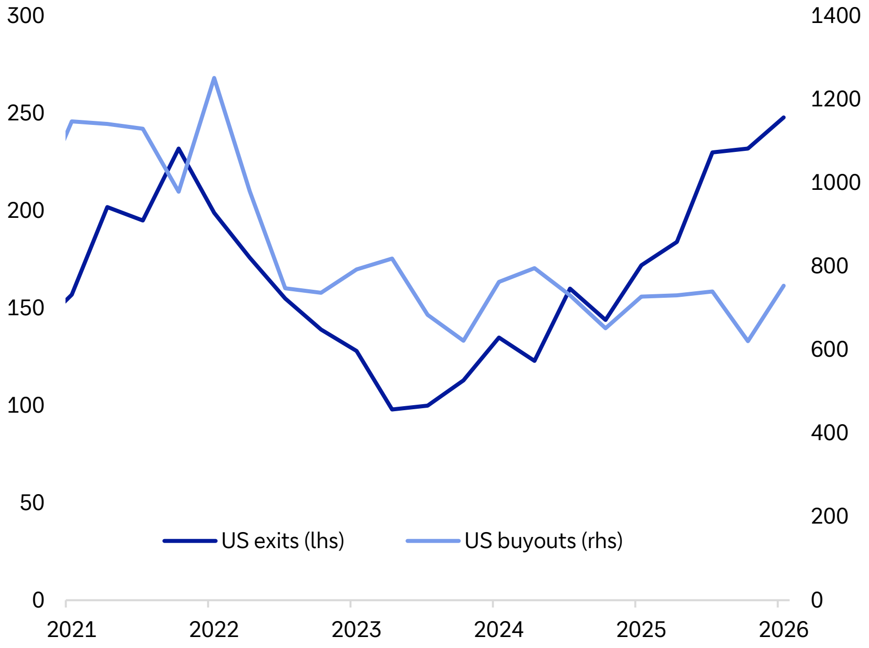
Gross retail fundraising (not taking into account redemptions) is down by a quarter. Managers emphasise that the issue is headline driven and concentrated, but the sentiment needs to improve significantly to restore strong growth.



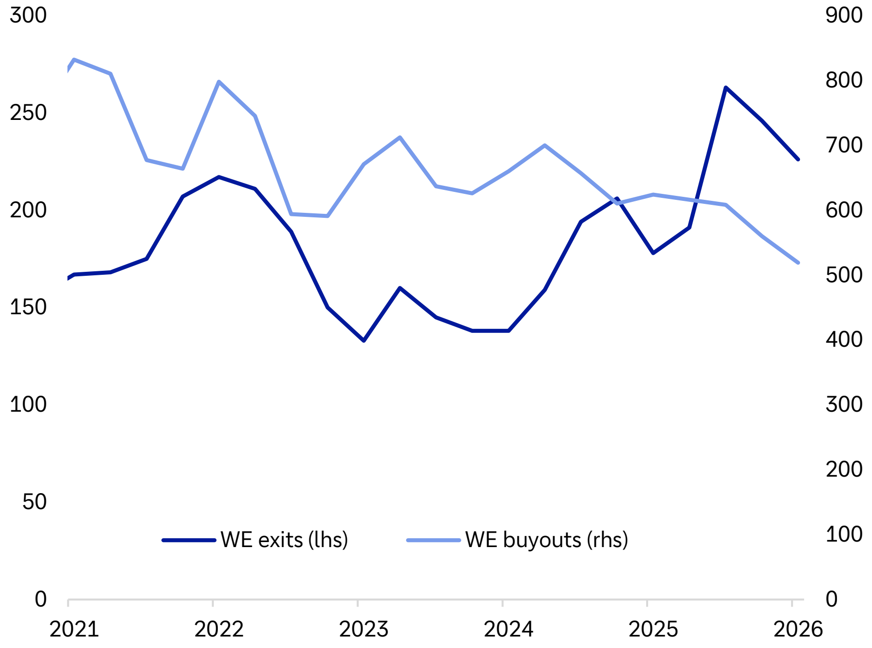
*Source: Deutsche Bank company research – US Brokers, Asset Managers & Exchanges - Deutsche Bank Research, Bloomberg Finance LP, Deutsche Bank. * Note: gross, only funds with available Q1 data.*

Strengthening exit activity should assuage investor concerns about private equity and free up more capital to do deals

US PE exits have accelerated past 2021 highs



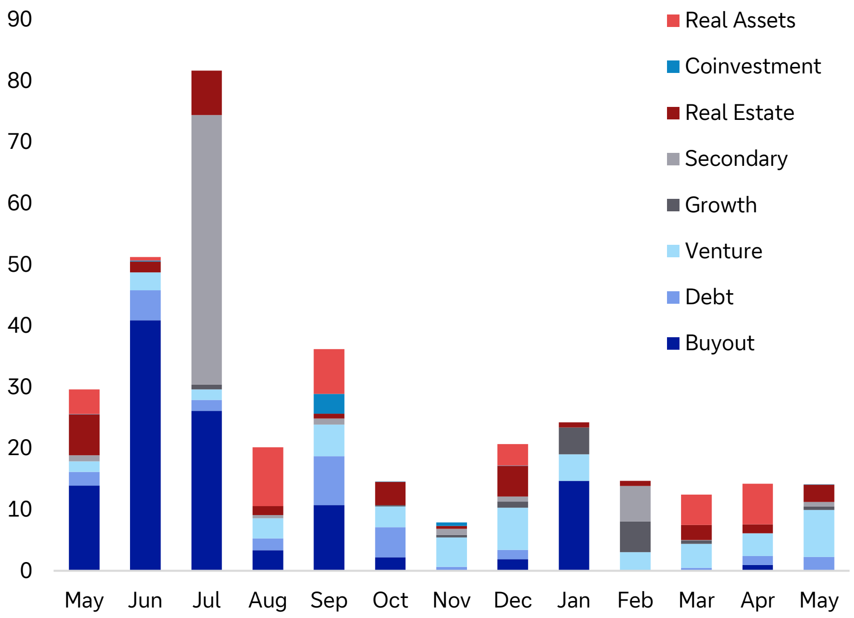
European exits are high but somewhat slowing



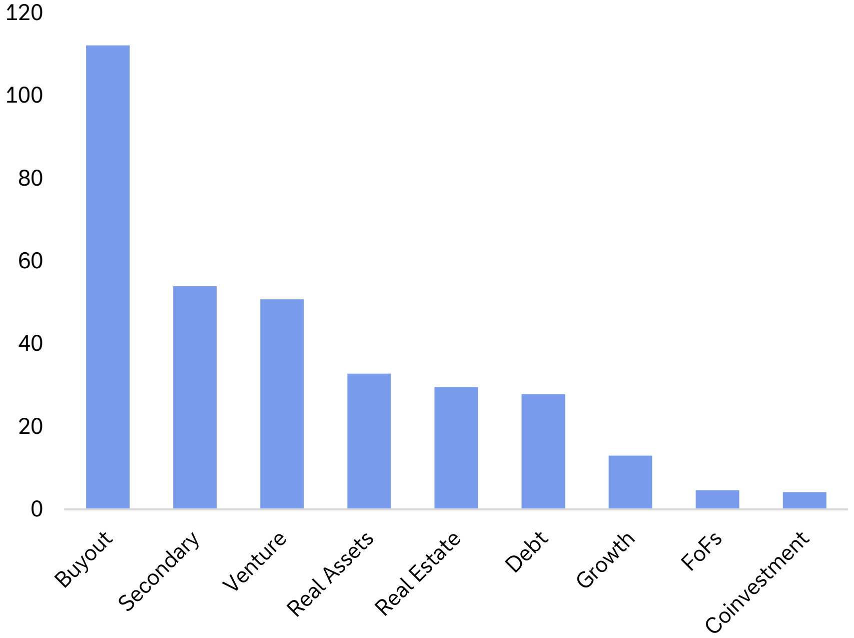
Source: White & Case, Deutsche Bank.

New fund launches – private equity gathering pace in recent months

Fundraising funds - target in $bn by strategy type and launch month, US and Europe



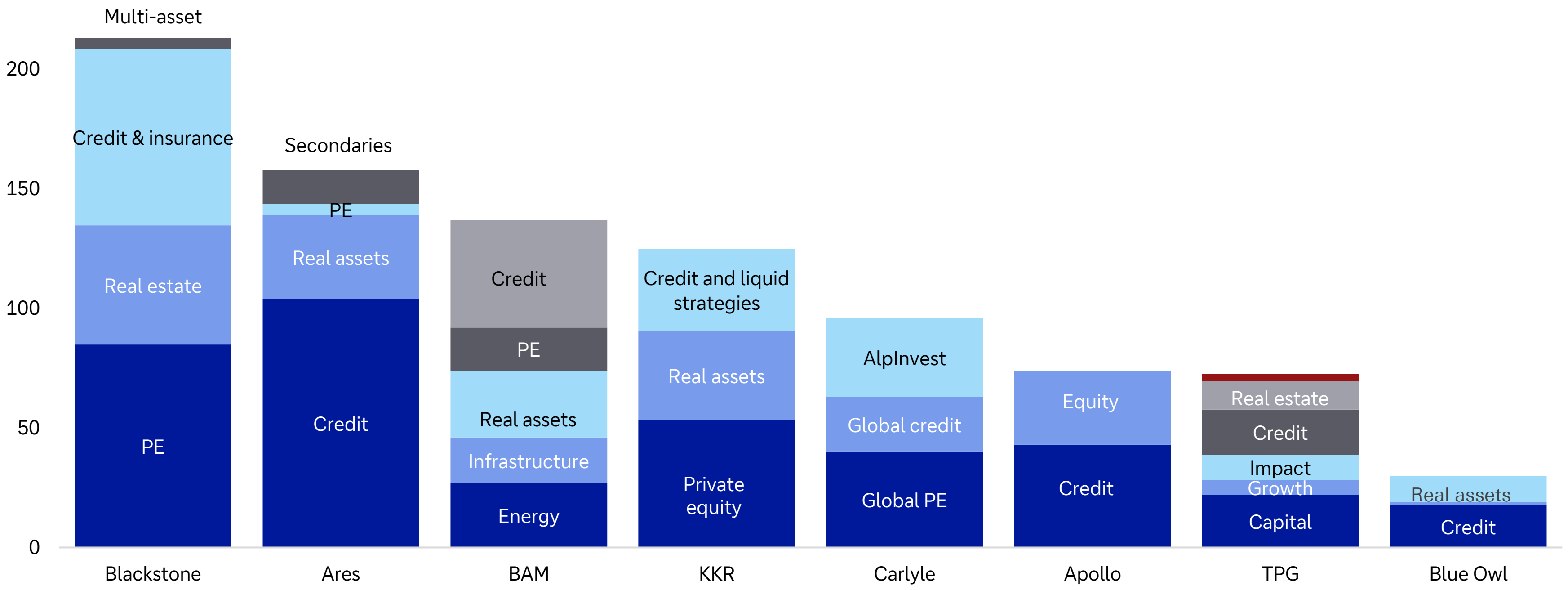
Fundraising funds in US and Europe, last 12m in $bn



Source: Bloomberg Finance LP, Deutsche Bank.

Dry powder by manager

Dry powder by manager and reported segment, Q1 2026 ($bn)

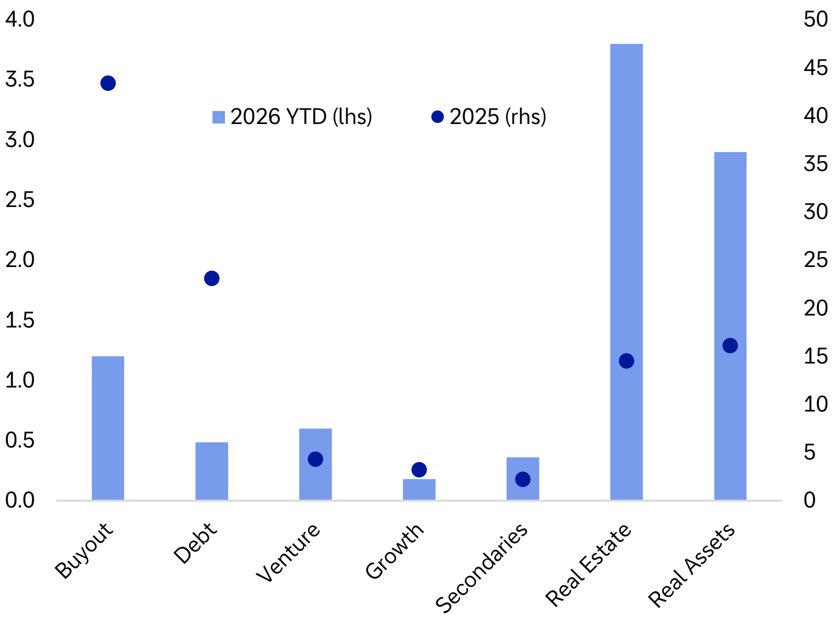


Source: Company reports, Deutsche Bank.

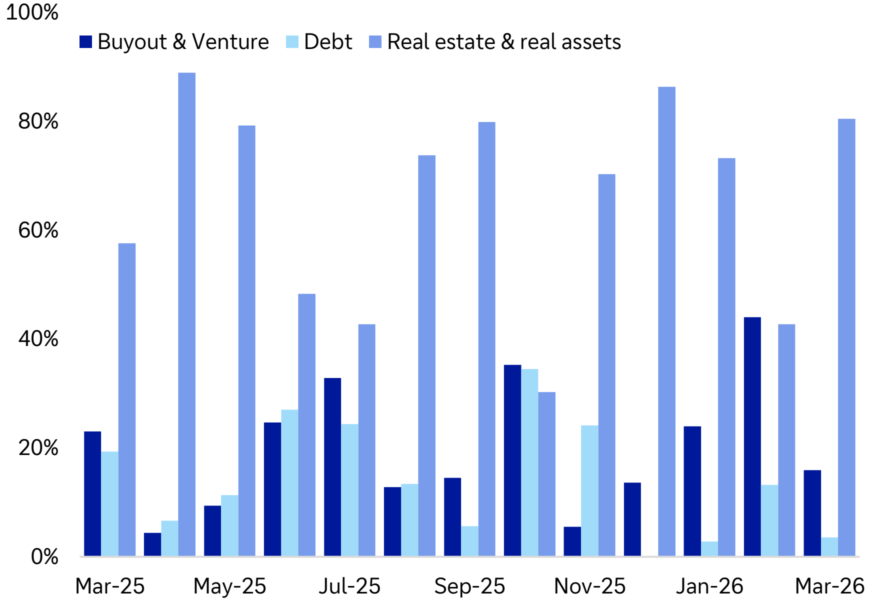
Deutsche Bank Research Institute

Recent disclosed LP commitments

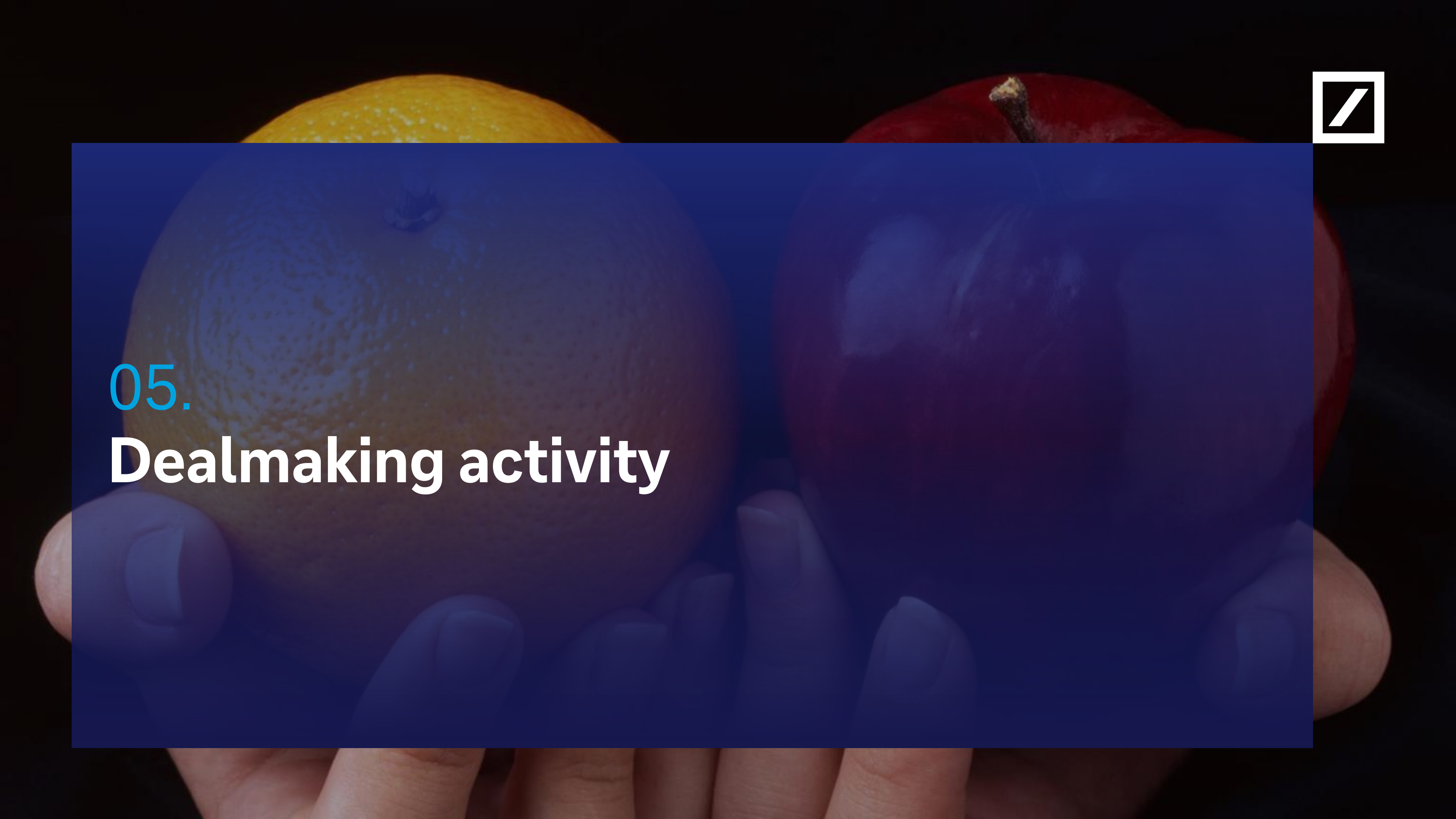
Disclosed LP commitments by strategy in $bn



Disclosed LP commitment targets by month and strategy, share of total for selected strategies



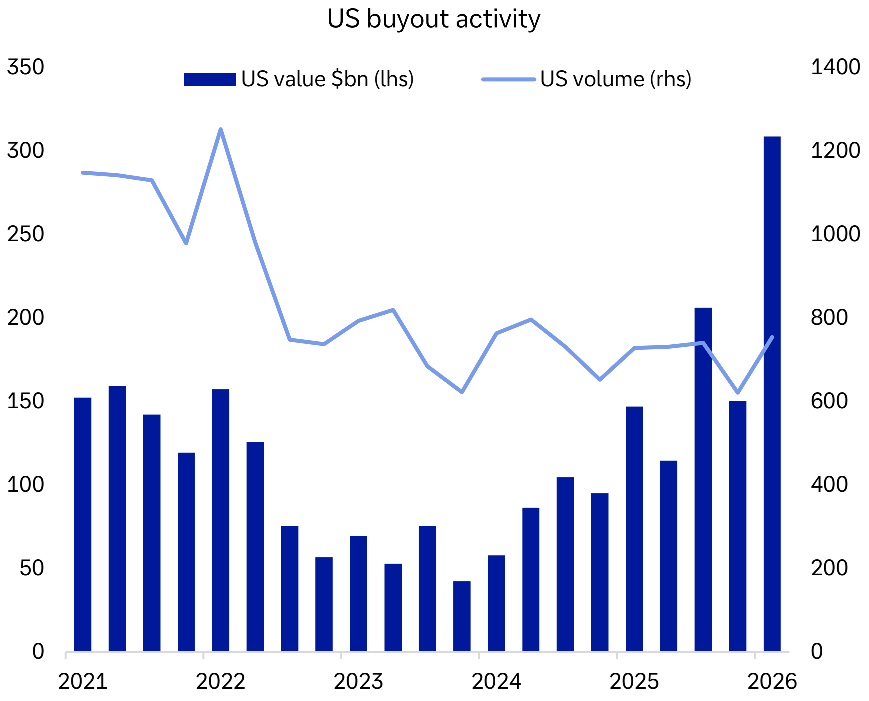
Source: Bloomberg Finance LP, Deutsche Bank.

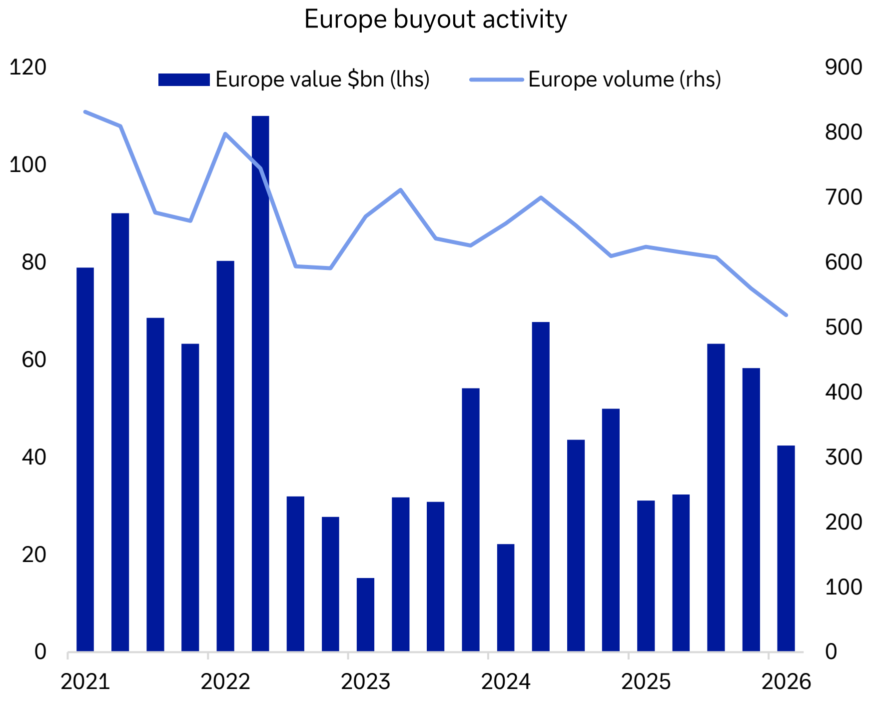


05.

Dealmaking activity

Dealmaking activity in buyouts

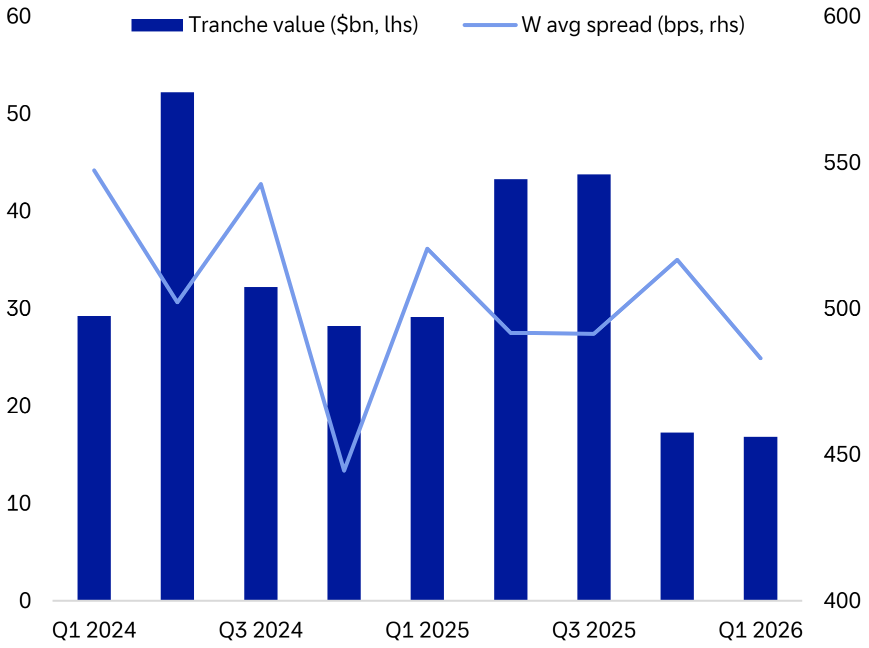




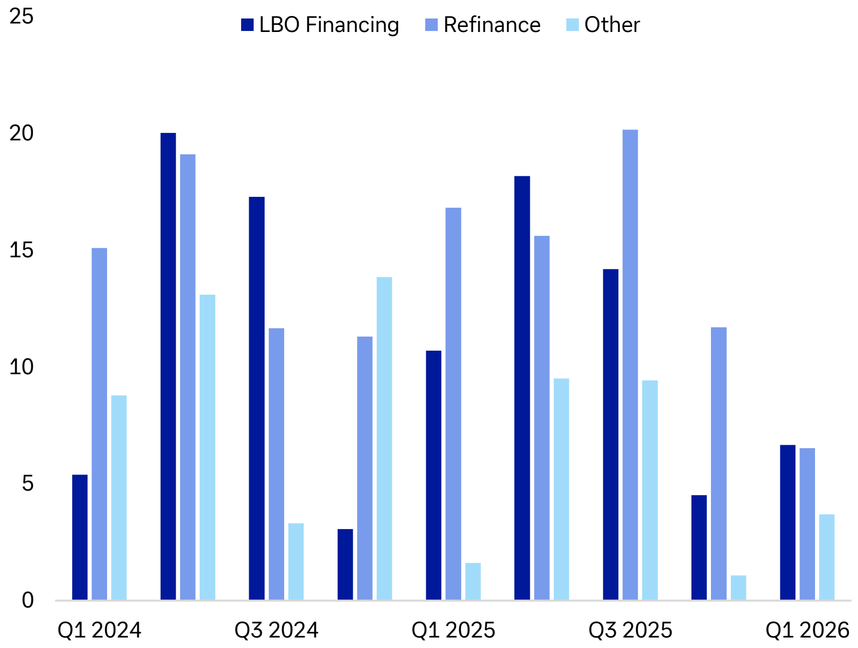
Source: White & Case, Deutsche Bank.

Origination in large private credit loans – loan volumes steady QoQ but down YoY as both LBOs and refinancing demand slowed

Loan volumes have been slowing

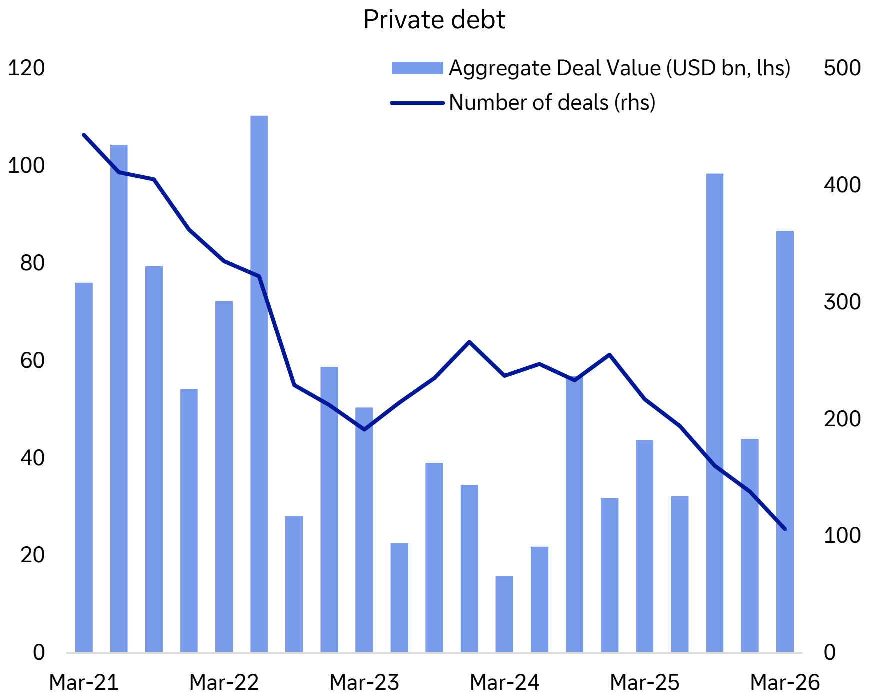


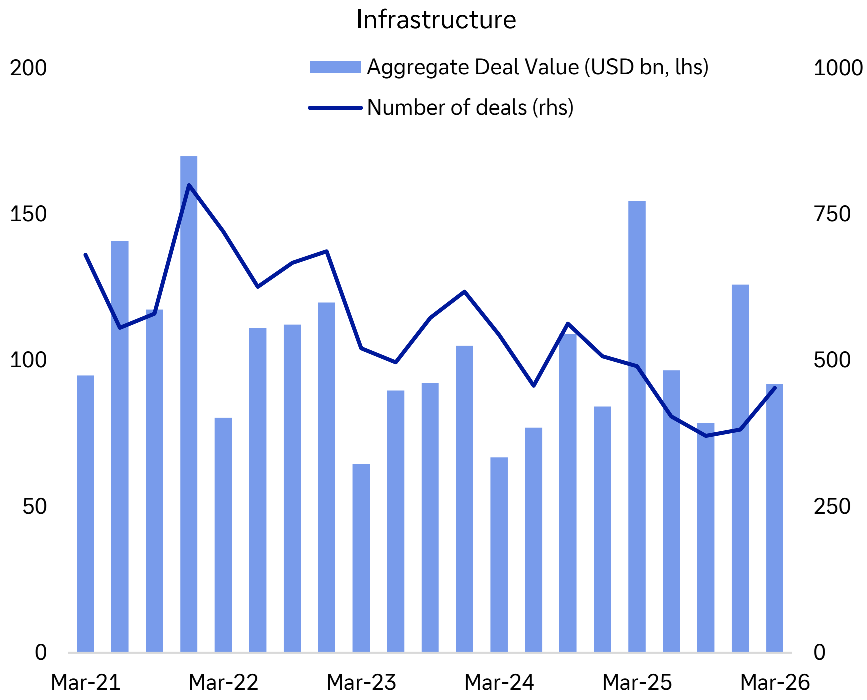
Loans by purpose ($bn)



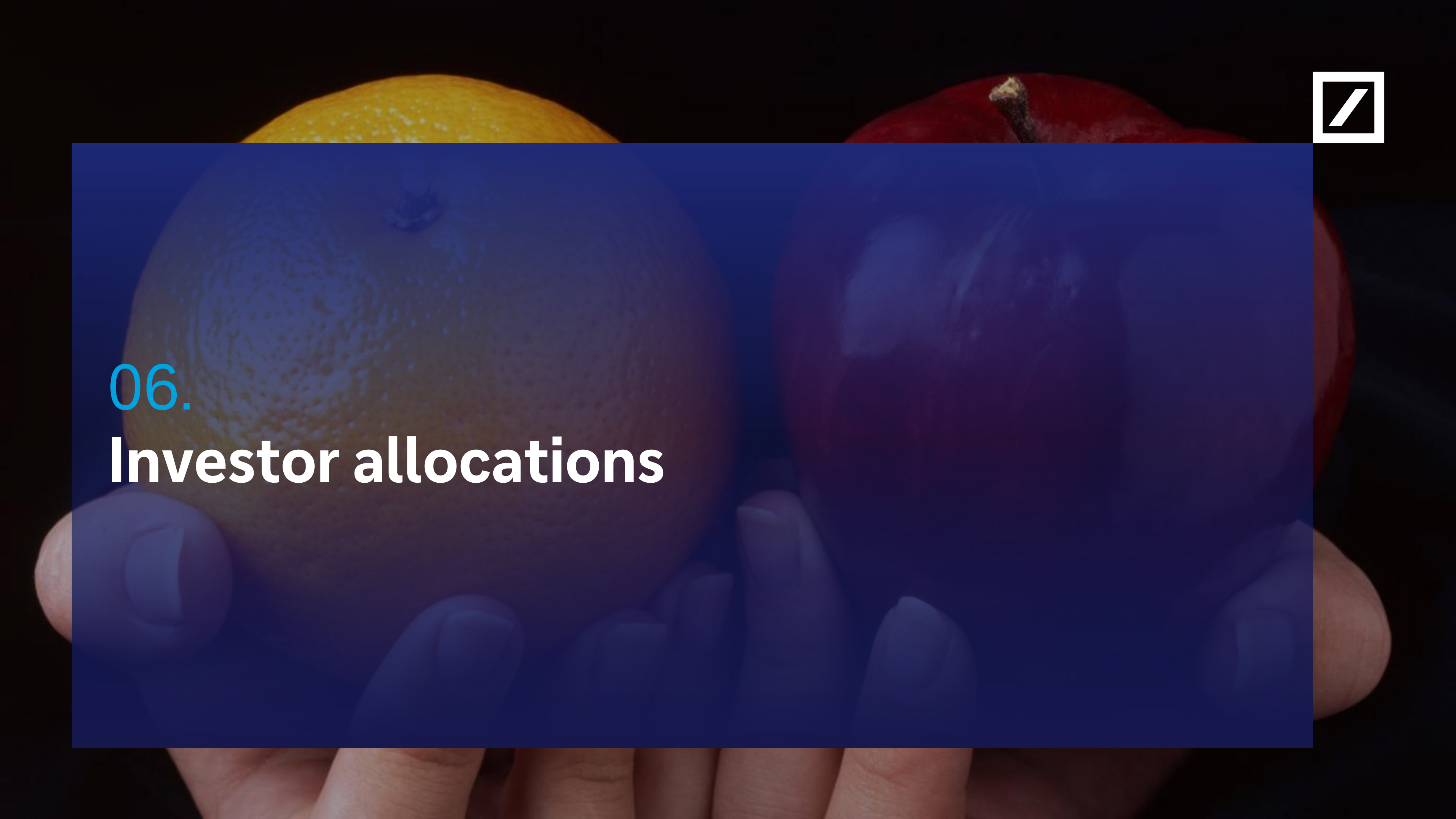
Source: Bloomberg Finance LP, Deutsche Bank.

Global dealmaking activity in private debt and infrastructure



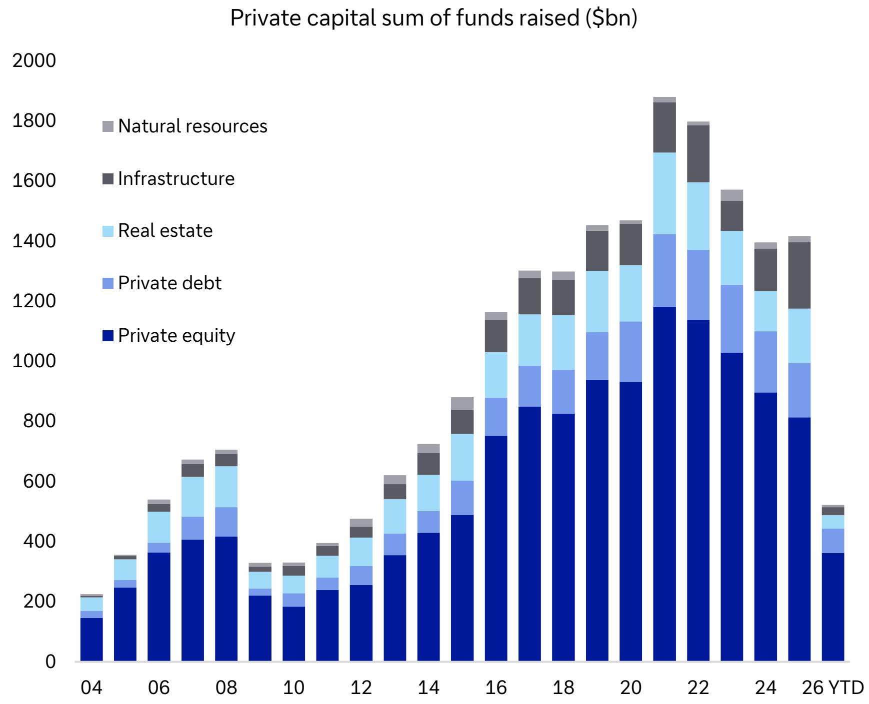


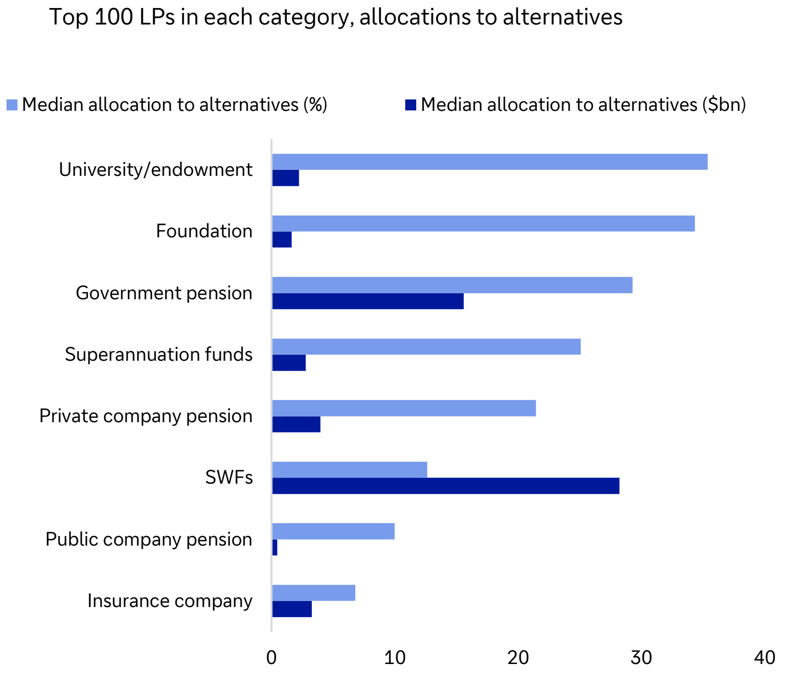
Source: Preqin, Deutsche Bank.



06.
Investor allocations

Investor allocations





Source: Preqin, Bloomberg Finance LP, Deutsche Bank.

Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.